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Korea Economic Outlook

2026. 8.

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Key Assumptions of the Outlook

☐ **[Semiconductor Cycle]** Global AI infrastructure investment is expected to keep expanding, sustaining solid growth in semiconductor exports. However, as production capacity gradually increases, export volume growth is expected to moderate.

⇒ **Semiconductor export volume growth is assumed to moderate from the high-teens percent range in 2026 to the low-to-mid-teens in 2027, a modest upward revision from the May assumption.**

☐ **[Middle East Situation]** Uncertainty surrounding U.S.–Iran negotiations is ongoing, but Strait of Hormuz transit is assumed to partially resume in H2, together with expanded crude supply via alternative routes and non-Middle East countries, easing supply-chain disruptions.

⇒ **Brent crude is assumed to decline to USD 84 in H2 (2026 average: USD 86) and to around USD 74 next year, substantially below the May assumption.**

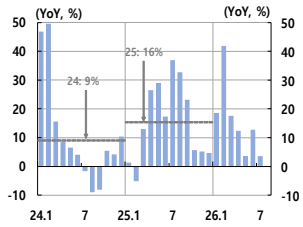
☐ **[U.S. Tariff Policy]** Following the expiration of the temporary tariff in late July, the United States has imposed an alternative tariff – forced-labor tariff – with overcapacity tariffs assumed to follow*,**.

* The overcapcity investigation is expected to conclude with an announcement in Q4 2026.
** Semiconductor tariffs (15%) are assumed to take effect from Q1 2027.

⇒ **The tariff rate on Korea is assumed to remain at its current level (forced-labor tariff 12.5%, autos 15%, steel 50%, etc.) until overcapacity tariffs are imposed in Q4, at which point the rate is assumed to revert to the level prevailing before the ruling that invalidated the reciprocal tariffs (Feb. 20). This is broadly similar to the May assumption.**

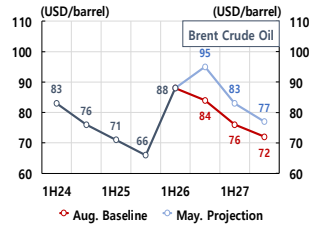
Key Assumptions	
► Semiconductor Cycle	▪ Solid semiconductor demand persists while production capacity gradually expands; export volume growth: high-teens percent range in 2026, low-to-mid-teens in 2027.
► Middle East Situation	▪ Uncertainty around U.S.–Iran negotiations is ongoing; partial resumption of Strait of Hormuz transit and continued supply via alternative routes ease disruptions in H2. Brent crude: USD 86 average in 2026 (USD 84 in H2 2026), USD 74 in 2027.
► U.S. Tariff Policy	▪ Forced-labor tariff currently in effect; additional overcapacity tariff assumed in Q4; semiconductor tariff (15%) assumed from Q1 2027. Tariffs on Korea – [Current] forced-labor 12.5%, autos 15%, steel 50%; [Ahead] pharmaceuticals 15% (effective Sep. 29, 2026), overcapacity tariff (assumed Q4 2026), semiconductors 15% (assumed from Q1 2027).

Semiconductor Export Volume Index



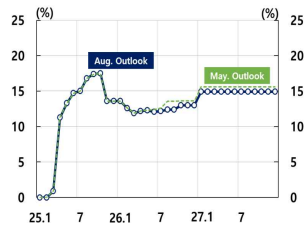
Source: Bank of Korea

Brent Crude Oil Price assumption



Source: Bloomberg, Research Department

U.S. Tariff Rate on Korea[1)]



Note: 1) Based on 2024 U.S. import values
Source: Research Department

Executive Summary

- ☐ **Korea's economy is projected to expand 3.3% this year (+0.7 percentage points (pp) from the May forecast), as the semiconductor boom and its spillover effects more than offset ongoing uncertainty surrounding the Middle East situation.**
- ☐ **CPI inflation is expected to be 2.7% (in line with the May forecast), as cost pressures continue to pass through and demand-side pressures gradually increase.**

(%, %p)	2025	2026[e)]	2027[e)]
▸ GDP Growth Rate	1.1	3.3 (+0.7)	2.9 (+0.8)
▸ Headline Inflaton (%)	2.1	2.7 (—)	2.3 (—)
- (Core Inflation)	1.9	2.5 (+0.1)	2.5 (+0.2)

Note: Figures in ( ) indicate changes from the May 2026 forecast.

Economic Conditions

☐ **The global economy is expected to sustain moderate growth, supported by robust AI investment and expanding global trade, even as uncertainty surrounding the Middle East situation is ongoing.**

* **The United States** is expected to grow in the low-2% range, supported by robust AI investment and resilient consumption; **the euro area** around 1%, as fiscal expansion in major economies offsets structural weakness in manufacturing; and **China** in the mid-4% range, as robust exports are offset by deepening domestic demand weakness.

▪ **Global trade** growth is expected to remain solid, as supply-chain disruptions from the Middle East situation gradually ease and AI infrastructure-related trade remains robust.

▪ **Global oil prices (Brent crude)** are expected to decline gradually as Strait of Hormuz transit recovers and crude supply continues via alternative routes and non-Middle East countries, although volatility could increase depending on the progress of U.S.–Iran negotiations.

▪ **The global semiconductor industry** is expected to sustain its underlying expansion, driven by continued AI-related infrastructure investment, although a potential moderation in investment pace amid profitability concerns remains a risk factor.

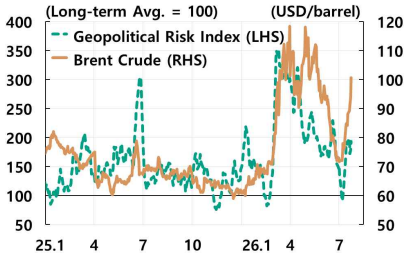
▢ **On the domestic conditions, economic sentiment has remained favorable* despite the recent equity market correction, and domestic demand conditions are expected to stay solid going forward, supported by improving income conditions and an expansionary fiscal stance.**

* Consumer Sentiment Index: Apr '26 99.2 → May 106.1 → Jun 106.6 → Jul 106.8 → Aug 104.5
Economic Sentiment Index: Apr '26 91.7 → May 97.5 → Jun 96.8 → Jul 97.9 → Aug 99.4

- **Nominal wage growth** is expected to accelerate, led by the IT sector, while wage growth in some non-IT sectors, such as construction, is expected to lag.

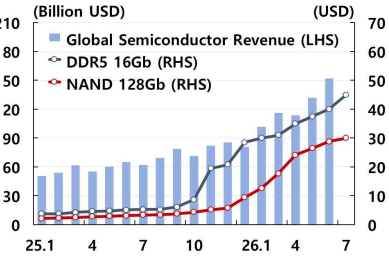
- **Corporate bond yields** fluctuated, influenced by expanding domestic growth, movements in U.S. Treasury yields and global oil prices. **The USD/KRW exchange rate** fell sharply, as FX supply-demand conditions improved and the U.S. dollar weakened. **Housing prices** continued to rise, led by the Seoul metropolitan area.

Geopolitical Risk and Oil Prices



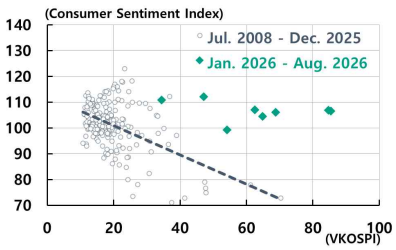
Source: Caldara *et al.*(2021), Bloomberg

Global Semiconductor Industry



Sources: WSTS, DRAMeXchange

Equity Market Volatility and Economic Sentiment



Note: The black dotted line represents the trend line for the period July 2008 – December 2025.
Sources: Bank of Korea, Korea Exchange

<Assumptions for the Global Economy[1)]>

(%)	2025	2026[e)]			2027[e)]		
		H1	H2	Year	H1	H2	Year
Global Economic Growth[2)]	3.5	3.0	3.0	3.0 [2.9]	3.1	3.2	3.2 [3.1]
• United States	2.1	2.4	1.9	2.2 [2.1]	2.3	2.0	2.1 [2.0]
• Euro Area	1.2	0.7	0.9	0.8 [0.8]	1.1	1.2	1.2 [1.2]
• China	5.0	4.7	4.5	4.5 [4.6]	4.3	4.4	4.3 [4.3]
Global Trade Growth[2)]	5.0	4.9	3.4	4.2 [2.8]	3.7	4.3	4.0 [3.2]
Brent oil prices[3)]	68	88	84	86 [93]	76	72	74 [80]

Notes: 1) Figures in [ ] are May '26 outlooks 3) Year-on-year 4) USD/barrel, by period average.
Sources: Statistics Offices of each region, Bloomberg, Research Department.

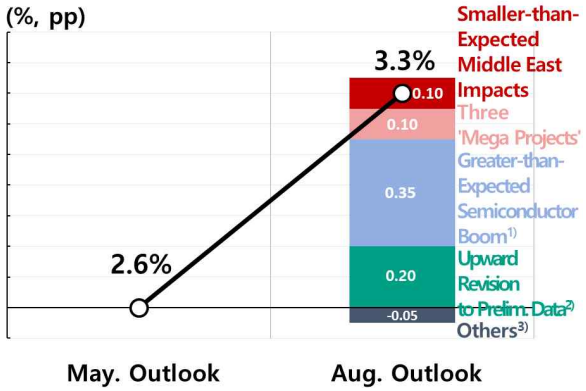
Economic Outlook

☐ **GDP growth in 2026 is projected at 3.3% (+0.7 pp from the May forecast), as the semiconductor boom and its spillover effects more than offset the ongoing uncertainty surrounding the situation in the Middle East.**

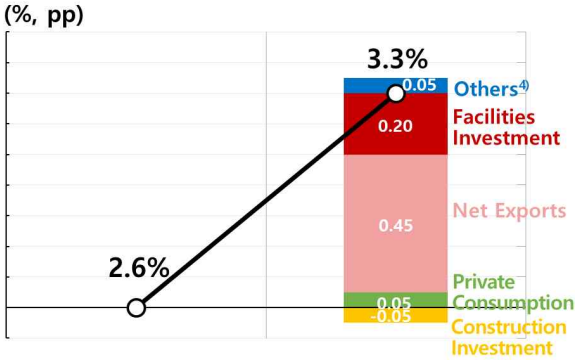
- In **Q2 2026**, growth came in at 0.6% QoQ (3.7% YoY), as the Middle East-driven supply shock was substantially cushioned by government measures, exports remained strong, and consumption sustained its improving momentum, supported by the supplementary budget.
- In **H2**, IT-led export and investment strength is expected to continue, and consumption should sustain its underlying recovery. Non-IT sector weakness is also expected to ease gradually as Middle East-driven energy supply-chain disruptions abate. By quarter, growth is expected to slow slightly to 0.3% QoQ (2.6% YoY) in **Q3**, reflecting base effects from the recent run of strong growth, before rebounding to a solid 0.5% QoQ (3.3% YoY) in **Q4**.
- In **2027**, as the semiconductor upcycle continues and its spillover to other sectors gathers pace, both domestic demand and exports are expected to remain solid, resulting in annual growth of 2.9%.

☐ **The 0.7 pp upward revision to this year's GDP growth reflects an upward revision to preliminary data (+0.2 pp), a greater-than-expected semiconductor boom (+0.35 pp), three 'mega projects' (+0.1 pp), and a smaller-than-expected Middle East impact (+0.1 pp).**

Revision to GDP Growth Outlook for 2026 (by Main Driver)



Revision to GDP Growth Outlook for 2026 (by Expenditure)



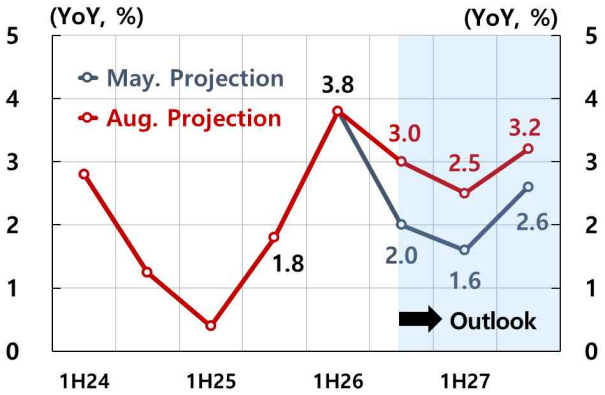
Notes: 1) Semiconductor export volumes and prices exceeded expectations, and exports of AI-related items expanded.
2) Upward revision to preliminary 2025 and Q1 2026 data.
3) Equity market correction, higher market interest rates, etc.
4) IPP investment, inventory changes, etc.

Domestic Growth Outlook[1)]

(%)	2025	2026[e)]	2027[e)]
GDP	1.1	3.3 [2.6]	2.9 [2.1]
• Private Consumption	1.5	2.1 [2.0]	2.3 [2.1]
• Goods Exports	3.3	9.7 [4.9]	4.6 [3.3]
• Construction Investment	-9.7	0.2 [0.6]	1.9 [1.5]
• Facility Investment	1.5	6.8 [4.4]	4.7 [2.7]

Note: 1) [ ] denotes the May 2026 forecast

Outlook for GDP Growth

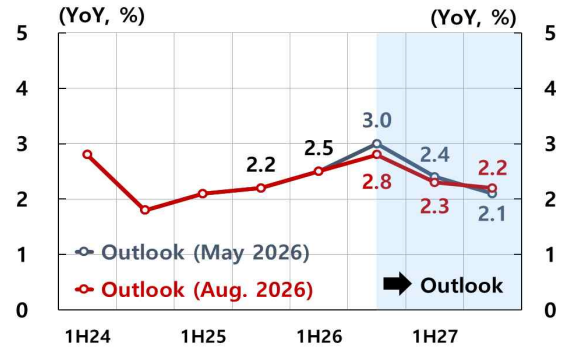


Source: Research Department

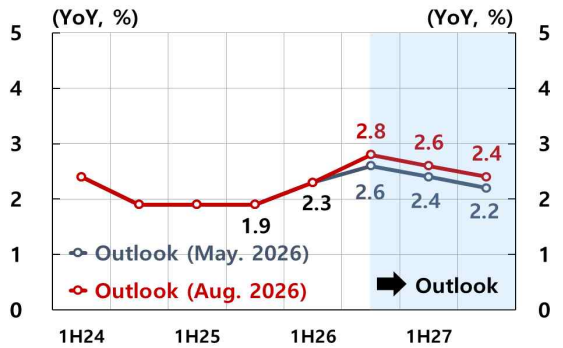
☐ **CPI inflation in 2026 is expected to rise 2.7% (in line with the May outlook), as the pass-through of cost shocks continues and demand-side pressures gradually increase.**

- In **2027**, CPI inflation is expected to moderate to 2.3%, below this year's rate, as oil price trends act as the major downward factor.
- **Core inflation** is expected to remain elevated at 2.5% in 2026 and 2027, as cost shocks continue to pass through to durable goods and other items, compounded by increasing demand-side pressures.

Outlook for CPI Inflation



Outlook for Core Inflation



Source: Research Department, Ministry of Data and Statistics

▢ **The current account surplus in 2026 is expected to reach a record USD 450.0 billion, underpinned by robust semiconductor exports and well above the previous record of USD 123.1 billion set in 2025.**

- **The goods balance** is expected to post a large surplus, driven by rising semiconductor demand amid expanding global AI investment and a sharp increase in prices stemming from supply constraints. **The services balance** deficit is expected to widen slightly, as improvement in the travel balance from robust inbound tourism is offset by higher payments for overseas intellectual property royalties.

▢ **The increase in the number of employed persons in 2026 is expected to be 140,000, down from 190,000 in 2025. The employment rate (62.9%) is expected to stay unchanged at 62.9%.**

- **Employment growth** in 2026 is expected to fall short of the May forecast by 40,000, reflecting the impact of the Middle East situation and weakness in vulnerable sectors such as construction. In the second half, however, **private-sector employment** is expected to recover as the impact of the Middle East situation eases and the economic recovery continues.

<Inflation, Current Account, and Employment Outlook[1)]>

	2025	2026[e)]	2027[e)]
CPI Inflation(%)	2.1	2.7 [2.7]	2.3 [2.3]
• Core Inflation(%)	1.9	2.5 [2.4]	2.5 [2.3]
Current Account Surplus (USD 100 million)	1,231	4,500 [2,500]	4,300 [1,900]
Employment Growth (10,000 persons)	19	14 [18]	20 [17]
Employment rate (%)	62.9	62.9	63.0

Note: 1) [ ] denotes the May '26 outlooks
Sources: Ministry of Data and Statistics, Research Department

Risks to the Outlook

☐ **The growth forecast path is subject to considerable uncertainty related to the pace of AI investment and the Middle East situation, while for inflation, oil price, exchange rate movements and demand-side pressures are the key risk factors.**

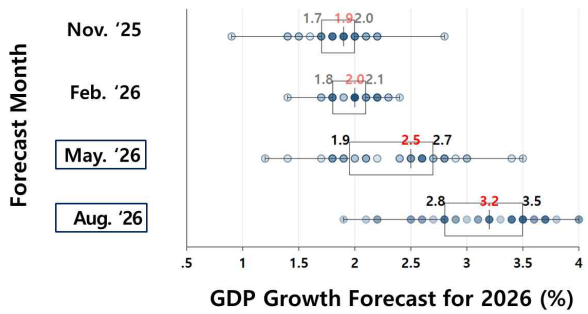
	Upside Risks	Downside Risks
Growth	▪ Further expansion of semiconductor-related exports and investment amid AI proliferation ▪ Easing of Middle East tensions and normalization of energy supply chains ▪ Broader spillover (spillover effect) from the IT boom to other sectors	▪ Adjustment in real investment and increased financial-market volatility amid AI profitability concerns ▪ Renewed escalation of Middle East tensions ▪ Intensified U.S. trade pressure and tariff burden
Inflation	▪ Rise in oil prices from a deterioration in the Middle East situation ▪ Broadening demand-side price pressures	▪ Larger declines in oil prices and the exchange rate ▪ Strengthened government price-stabilization measures

< Distribution of Market Forecasts >

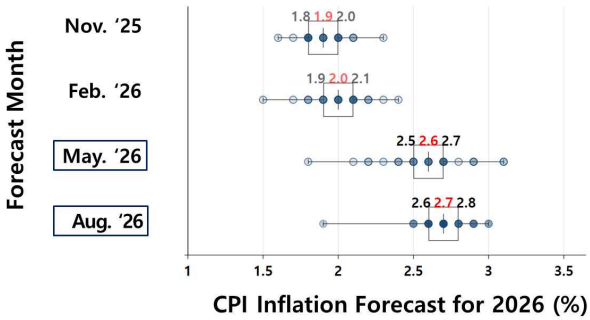
☐ **The median forecasts of major forecasting institutions for Korea's 2026 growth and inflation have been revised since the May survey.** Among market participants including investment banks, the median **GDP growth** forecast for this year stands at **3.2%**, up 0.7 percentage points from the May survey (2.5%), while the median **CPI inflation** forecast rose 0.1 percentage point from 2.6% in May to **2.7%**.

<Distribution of GDP Growth and CPI Inflation Forecasts for 2026[1)]>

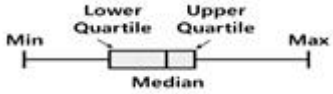
GDP growth



Headline inflation



Note: 1) Based on approximately 40 institutions
Source: Bloomberg survey (Aug 10)



Scenario Analysis

☐ **Considerable uncertainty surrounds the outlook, particularly regarding the semiconductor cycle and the Middle East situation. The semiconductor cycle continues to show strength, but concerns over a moderation in AI investment by technology companies have grown. Regarding the Middle East situation, military tensions have re-escalated since July, and uncertainty over negotiation progress has widened. Accordingly, alternative scenarios for the semiconductor cycle and the Middle East situation were constructed to examine their implications for growth and inflation.**

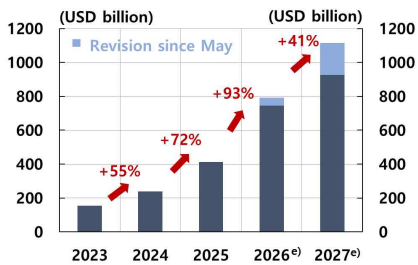
① Semiconductor Scenarios **Accelerating export growth in 2026 (optimistic) vs. Decelerating export growth in 2026 (pessimistic)**

▪ **[Baseline]** With global AI infrastructure investment continuing to expand, semiconductor exports are expected to sustain solid growth. However, as production capacity gradually increases, semiconductor export volume growth is expected to moderate gradually from the high-teens percent range in 2026 to the low-to-mid-teens in 2027.

▪ **[Optimistic]** Semiconductor demand proves stronger than expected on the back of the proliferation of agentic AI and diversifying AI business models, while domestic suppliers' production also increases rapidly through new capacity additions and yield improvements. In this case, semiconductor export volume growth would remain around 20% in 2026 and in the mid-to-high-teens in 2027. Relative to the baseline, **GDP growth** would be **0.2 pp higher in 2026** and **0.6 pp higher in 2027,** while the impact on **CPI inflation** would be **limited in 2026** but **0.2 pp higher in 2027.**

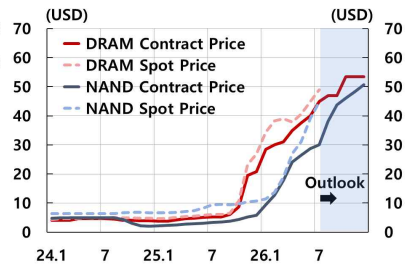
▪ **[Pessimistic]** Major Big Tech firms substantially scale back the pace of AI investment as monetization is delayed and borrowing costs rise, though long-term supply agreements partially cushion the impact of weaker demand. In this case, semiconductor export volume growth would slow to the mid-teens in 2026 and around 10% in 2027. Relative to the baseline, **GDP growth** would be **0.1 pp lower in 2026** and **0.4 pp lower in 2027,** while the impact on **CPI inflation** would be **limited in 2026** but **0.1 pp lower in 2027.**

Major Big Tech Firms CAPEX[1)]



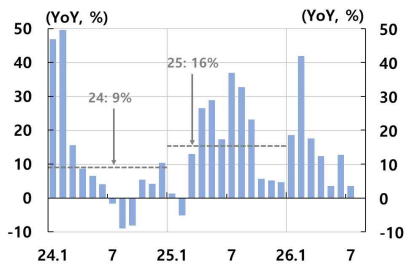
Note: 1) Sum of 5 firms (Amazon, Google, Microsoft, Meta, and Oracle)
Source: Bloomberg

Memory Prices[1)]



Note: 1) DRAM: DDR5 16Gb; NAND: 128Gb MLC.
Sources: DRAMeXchange, TrendForce

Semiconductor Export Volume Index



Source: Bank of Korea

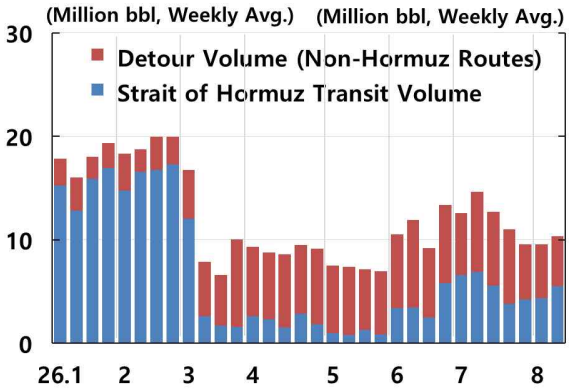
② **Middle East Scenarios** : Early de-escalation vs. Prolonged stalemate

- **[Baseline]** Uncertainty surrounding U.S.–Iran negotiations is assumed to remain, but Strait of Hormuz transit is assumed to partially resume in the second half, together with continued crude supply via alternative routes and non-Middle East countries, easing supply-chain disruptions. Accordingly, Brent crude is expected to decline gradually to USD 84 by H2 2026 (2026 average: USD 86) and to around USD 74 in 2027.

- **[Early de-escalation]** U.S.–Iran negotiations are assumed to advance in Q3, easing military tensions and enabling a rapid recovery in Strait of Hormuz transit. Under this assumption, oil prices decline to USD 76 by H2 2026 (2026 average: USD 82) and to around USD 63 in 2027. Relative to the baseline, GDP growth would be **0.1 pp higher in 2026** and **0.2 pp higher in 2027,** while **CPI inflation** would be **0.1 pp lower in 2026** and **0.3 pp lower in 2027.**

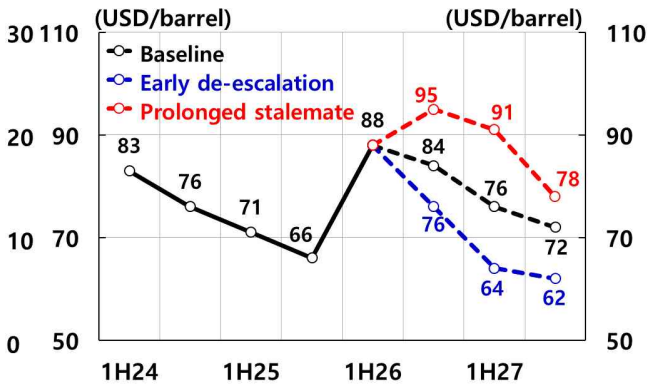
- **[Prolonged stalemate]** U.S.–Iran negotiations remain deadlocked before gradually advancing in 2027, while regional military tensions escalate in 2026. In this case, the recovery in Strait of Hormuz transit is delayed within the year and supply via alternative routes is also partially disrupted, pushing oil prices up to around USD 95 by H2 2026 (2026 average: USD 91) before easing to around USD 85 next year as negotiations progress. Relative to the baseline, **GDP growth** would be **0.1 pp lower in 2026** and **0.3 pp lower in 2027,** while **CPI inflation** would be **0.1 pp higher in 2026** and **0.4 pp higher in 2027.**

Crude Volumes Passing through and Bypassing the Strait of Hormuz[1)]



Note: 1) Based on Middle East countries
Source: Kpler, Research Department calculations

Brent Crude Oil Price Assumptions



Source: Bloomberg, Research Department

Key Assumptions by Middle East Scenario

	Baseline		Early de-escalation		Prolonged stalemate	
	2026e)	2027e)	2026e)	2027e)	2026e)	2027e)
▶ Brent Crude	$86	$74	$82	$63	$91	$85
▶ Global Growth[1)]	3.0%	3.2%	+0.1pp	+0.2pp	-0.1pp	-0.2pp

Note: 1) Figures for the early de-escalation (optimistic) and prolonged stalemate (pessimistic) scenarios denote deviations from the baseline

Growth and Inflation Outlook by Scenario[1)]

GDP Growth

(%, %p)	2025	2026e)	2027e)
Baseline	1.1	3.3	2.9
Semiconductor cylce (Optimistic)		+0.2	+0.6
Semiconductor cylce (Pessimistic)		-0.1	-0.4
Middle East (Early de-escalation)		+0.1	+0.2
Middle East (Prolonged stalemate)		-0.1	-0.3

CPI Inflation

(%, %p)	2025	2026e)	2027e)
Baseline	2.1	2.7	2.3
Semiconductor cylce (Optimistic)		+0.0	+0.2
Semiconductor cylce (Pessimistic)		-0.0	-0.1
Middle East (Early de-escalation)		-0.1	-0.3
Middle East (Prolonged stalemate)		+0.1	+0.4

Note: 1) If the two shocks occur simultaneously, spillover effects – transmitted through financial conditions, consumer sentiment, and corporate investment – could be larger than the simple sum of the individual shocks

Forecast Summary, August 2026

	2025	2026			2027[e]		
	Year	H1[1]	H2[e]	Year[e][2]	H1	H2	Year[2]
Main Premises of the Baseline Outlook							
Global Economic Growth(%)[3]	**3.5**	3.0	3.0	**3.0** [+0.1]	3.1	3.2	**3.2** [+0.1]
• United States	**2.1**	2.4	1.9	**2.2** [+0.1]	2.3	2.0	**2.1** [+0.1]
• Euro Area	**1.2**	0.7	0.9	**0.8** [-]	1.1	1.2	**1.2** [-]
• China	**5.0**	4.7	4.5	**4.5** [-0.1]	4.3	4.4	**4.3** [-]
• Japan	**1.2**	0.6	0.9	**0.7** [+0.2]	0.3	1.3	**0.8** [+0.1]
Global Trade Growth(%)[3]	**5.0**	4.9	3.4	**4.2** [+1.4]	3.7	4.3	**4.0** [+0.8]
Brent Oil Prices(USD/barrel)[4]	**68**	88	84	**86** [-7]	76	72	**74** [-6]
Domestic Economic Outlook							
GDP Growth(%)[3]	**1.1**	3.8	3.0	**3.3** [+0.7]	2.5	3.2	**2.9** [+0.8]
• Private Consumption	**1.5**	2.6	1.7	**2.1** [+0.1]	2.0	2.5	**2.3** [+0.2]
• Construction Investment	**-9.7**	-1.5	1.8	**0.2** [-0.4]	2.6	1.3	**1.9** [+0.4]
• Facilities Investment	**1.5**	5.4	8.3	**6.8** [+2.4]	4.7	4.7	**4.7** [+2.0]
• IPP Investment	**3.0**	3.7	3.7	**3.7** [+0.2]	3.0	3.4	**3.2** [+0.2]
• Goods Exports	**3.3**	10.8	8.7	**9.7** [+4.8]	4.8	4.5	**4.6** [+1.3]
• Goods Imports	**1.9**	9.7	9.9	**9.8** [+6.8]	5.3	4.0	**4.6** [+1.1]
Headline CPI inflation%)[3]	**2.1**	2.5	2.8	**2.7** [-]	2.3	2.2	**2.3** [-]
• Core inflation[5]	**1.9**	2.3	2.8	**2.5** [+0.1]	2.6	2.4	**2.5** [+0.2]
Current account (USD 100 million)	**1,231**	1,910	2,590	**4,500** [+2,000]	2,375	1,925	**4,300** [+2,400]
• Goods	**1,381**	1,938	2,733	**4,672** [+2,000]	2,529	2,059	**4,589** [+2,434]
• Services	**-345**	-118	-252	**-370** [-14]	-216	-255	**-471** [-38]
• Primary and Secondary income	**195**	89	108	**198** [+14]	62	121	**183** [+6]
Change in Number of Employed Persons (10000 person)[3][6]	**19**	11	18	**14** [-4]	23	17	**20** [+3]
Unemployment Rate(%)[6]	**2.8**	3.2	2.6	**2.9** [+0.1]	3.1	2.6	**2.8** [-]
Employment Rate(%)[6]	**62.9**	62.5	63.2	**62.9** [-0.1]	62.8	63.3	**63.0** [-0.1]

Notes: 1) Global economic growth and global trade growth are forecasts
2) Figures in [ ] show the change from outlooks as of May 2026. 3) Year-on-year 4) By period average
5) Excluding food and energy 6) Aged 15 and over

Sources: Bank of Korea, Statistics of each region, Bloomberg

Macroeconomic Conditions and Outlook

1. Review of Key Conditions

Global Economy

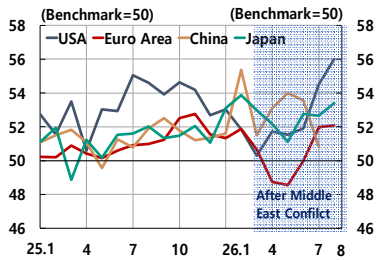
1-1. The global economy is forecast to maintain a moderate growth trend, supported by robust AI investment and steady growth in global trade, despite continued uncertainty in the Middle East. In the second quarter, the global economy demonstrated greater resilience than expected, as major economies responded to the Middle East-induced supply shock through fiscal support and supply-chain adjustments. Economic growth remained robust, with further support from expanding investment in AI infrastructure. However, economic growth in China slowed slightly despite robust exports, as weak domestic demand, including consumption and investment, deepened. Since July, manufacturing and services sector PMIs in major economies have generally remained robust, with the euro area PMI shifting into expansionary territory after a period of weakness. Global inflation rose following energy price shocks but eased somewhat after June. Nevertheless, the persistence of high global oil prices, driven by uncertainty in the Middle East, remains a risk to global inflation.

The global economy is projected to maintain a moderate growth trend, supported by robust AI investment and the expansion of global trade. However, economic growth is expected to diverge across countries depending on their degree of participation in the AI supply chain. Both upside and downside risks to the global growth trajectory include the progress of negotiations in the Middle East, concerns about the profitability of AI investments and the resulting possibility of an adjustment in investment, and heightened financial market volatility. Growth could also be constrained by rising market interest rates, driven by widening fiscal deficits in major economies and concerns over inflation.

1-2. Global trade is expected to grow at a solid pace, supported by the easing of supply chain disruptions caused by middle east conflict and both AI infrastructure investment and trade in related services remain robust.[1] On July 24, the U.S. government announced country-specific tariffs of 10–12.5% under its forced-labor tariff measure, replacing temporary tariffs. Uncertainty persists, however, regarding the potential imposition of tariffs on overproduction.

PMI in major economies remains in expansion territory

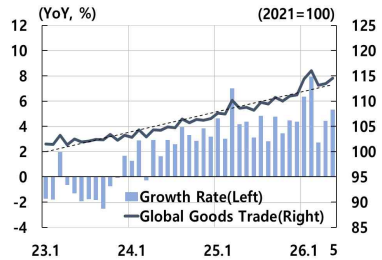
[Figure 1.1] PMI Trends in Major Economies[1]



Notes: 1) Composite PM 2) August is a flash estimate
Source: S&P Global

Global trade remains robust as shocks from the Middle East conflict ease

[Figure 1.2] Global Goods Trade Volume and Growth Rate[1]



Note: 1) The dotted line represents the trend for 2023-2025
Source: CPB

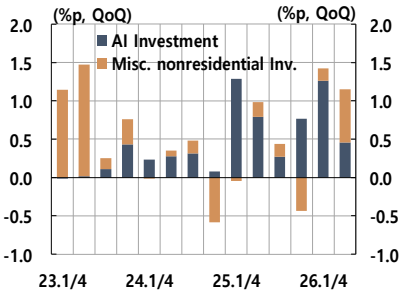
1) For further details, see Box 2, "Recent Resilence in Global Trade and Its Drivers."

Box 1 Economic Conditions and Outlook for Major Economies

Among major economies, the U.S. economy is forecast to grow at its potential level, in the low 2% range, supported by AI investment despite conflicts in the Middle East. The U.S. economy maintained a stable growth trend in the second quarter, underpinned by robust private demand. While inflationary pressures from the Middle East conflict, reduced government spending pointly due to the sale of strategic petroleum reserves, constrained growth, investment increased by 3.0% on an annualized basis, driven primarily by spending on AI infrastructure. Consumption also rose by 3.2%, bolstered by the World Cup and associated large-scale promotional events. Although retail sales were sluggish in July, PMIs for both the manufacturing and service sectors remained generally strong, significantly exceeding the threshold during July and August. Looking ahead, the U.S. economy is forecast to grow at its potential level, as expanded AI investment offsets downside pressures such as high inflation. However, downside risks persist, including rising interest rates, reduced investment in data centers due to opposition from local communities, and an escalation of the Middle East conflict.

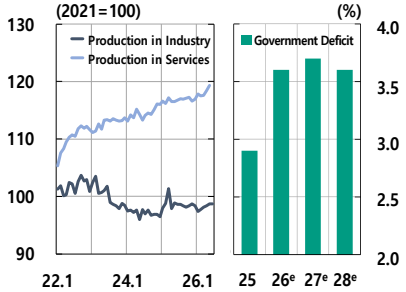
The Euro area economy is forecast to grow, supported by fiscal expansion in major economies, though the pace will likely remain moderate due to structural weaknesses in manufacturing and high energy prices. The economy expanded by 0.4% in the second quarter, a significant increase driven by base effects following previous sluggishness in Ireland and France, as well as an unexpected recovery in manufacturing despite shocks from the Middle East conflict and extreme weather, including heatwaves and droughts. Manufacturing has maintained a relatively favorable trend, supported by increased German defense spending, precautionary stockpiling in response to rising energy prices, and spillover gains in petrochemicals sector from supply disruptions in Asia. However, this trend appears largely temporary given structural headwinds, such as competition with China in the automotive sector. Looking forward, economic growth in the euro area is expected to be sustained by the defense and AI sectors, although the pace will likely be constrained by structural issues in manufacturing, elevated energy prices, and tight financial conditions. Upside risks to the growth path include expanded fiscal spending on defense and infrastructure, while downside risks center on heightened geopolitical tensions, such as a further escalation of the Russia-Ukraine war.

Contribution of AI Investment in the United States to Growth[1)]



Note: 1) Investment in information processing equipment and software
2) Includes investment in equipment, structures, and intellectual property products
Source: BEA

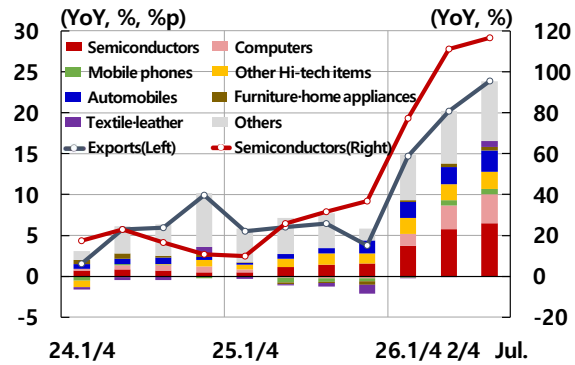
Industrial Production and Fiscal Deficit in the Euro area[1)]



Note: 1) As a percentage of GDP; figures for 2026–2028 are forecasts.
Sources: Eurostat, ECB

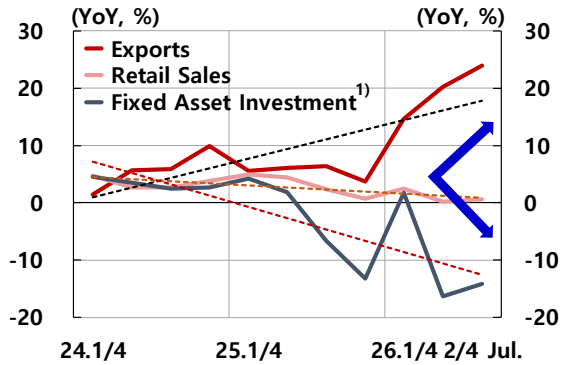
China's economic growth is forecast to moderate to the mid-4% range as the K-shaped divergence between weak domestic demand and robust exports intensifies. While exports of IT products, particularly semiconductors, have expanded strongly recently, investment—which had rebounded early in the year—has weakened, and retail sales of durable goods remain sluggish. Although the Chinese government has expanded support for high-tech investment, it has yet to announce any significant measures to bolster domestic demand. Looking ahead, the economy is expected to grow at a rate in the mid-4% range, as the benefits of the global IT boom on exports are likely to be offset by persistent domestic weakness and contracting investment. The outlook will depend on the further expansion of demand for IT products and whether the government introduces domestic stimulus measures.

China's Exports



Sources: General Administration of Customs of China, Research Department calculations

Sectoral Growth in China



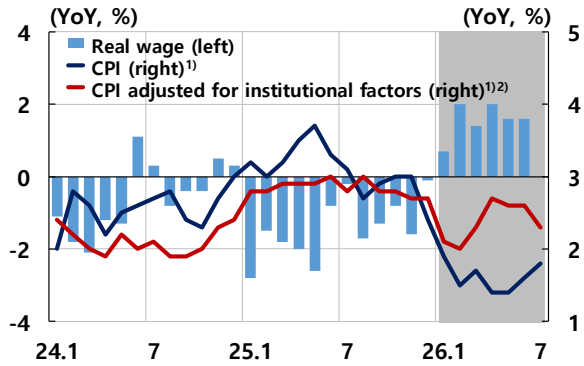
Note: 1) Haver estimates
Sources: National Bureau of Statistics of China, General Administration of Customs of China

Japan's economy is forecast to maintain a moderate recovery trend. In the second quarter, the economy grew by 0.3% (quarter-on-quarter), as continued export growth of 0.5%—supported by expanding global AI investment—offset flat private consumption of 0.0% and a 1.2% decline in facility investment. The Bank of Japan (BoJ) raised its policy rate to 1.0% in June, but inflationary pressures persist, driven by high oil prices and rising wages. Meanwhile, mounting concerns over fiscal sustainability have heightened volatility in government bond yields and exchange rates. While Japan's economy is expected to sustain moderate economic growth, supported by expansionary fiscal policy and continued global AI investment, its growth trajectory will depend on key variables such as the movement of the yen, price trends, and the pace of further rate hikes by the BoJ.

Emerging Asia continues to exhibit robust economic growth, supported by domestic demand and exports, although growth momentum may moderate. India has maintained strong economic growth on the back of robust private consumption and investment. In the ASEAN-5, export growth has remained robust, but consumption and production have slowed in some economies, including Indonesia and Thailand. While robust domestic demand in India and expanding exports in the ASEAN-5 are expected to underpin future growth, private consumption and investment are likely to be constrained by eroding real purchasing power due to inflation, tight financial conditions in some economies, and currency depreciation.

Rising oil prices and freight rates driven by heightened geopolitical tensions in the Middle East, increasing food prices, and agricultural production disruptions caused by extreme weather could pose downside risks to growth by increasing production costs and eroding real purchasing power.

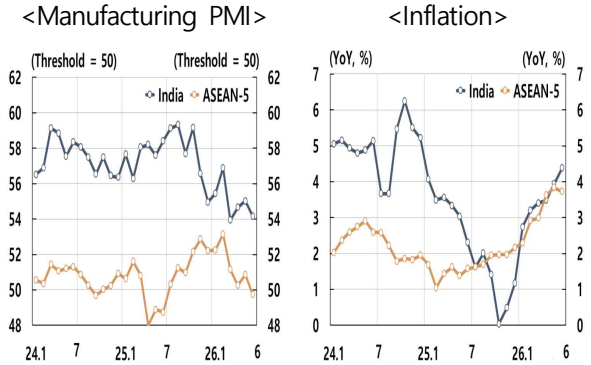
Japan's CPI inflation and wage growth



Notes: 1) Excluding fresh food
2) Adjusted to remove temporary fluctuations and institutional factors such as subsidies and tax changes

Sources: Ministry of Internal Affairs and Communications of Japan, Ministry of Health, Labor and Welfare of Japan, and the Bank of Japan.

Manufacturing PMI and Inflation in Emerging Asia



Sources: National statistical offices, Haver

Box 2 Recent Resilence in Global Trade and Their Drivers

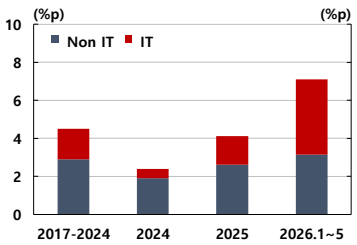
Global trade has remained resilient despite a series of major shocks. It had been expected to contract significantly, given the aggressive implementation of U.S. tariff policies since last year and the blockade of the Strait of Hormuz earlier this year. However, goods trade in real term grew by 4.3% last year and 5.4% from January to May this year, surpassing the long-term average of 3.6% recorded during the 2010s.

Recent strength in global trade has been driven by the expansion of global AI investment.[Figure 1] With AI infrastructure investment surging, primarily led by Big Tech companies, the IT sector's contribution to the growth of global goods trade reached 56% on a nominal basis from January to May this year. For now, however, trade growth remains concentrated in a narrow range of products, including semiconductors, and in economies participating in AI supply chains—the United States, Taiwan, Korea, Japan, and ASEAN. it is difficult to conclude that the trade recovery has broadened to the global economy as a whole.

The shock to global trade from higher U.S. tariffs appears to have been smaller than initially feared. Having experienced the first Trump administration, countries diversified their supply chains by expanding production bases to ASEAN, Latin America, and elsewhere.[Figure 2] This appears to have enabled them to respond quickly to tariff shocks of the second Trump administration by routing exports through third countries for simple assembly or processing. Indeed, China's share of U.S. imports fell by 14.2 percentage points between 2019 and January–May 2026, while the shares of ASEAN and Latin America rose by 12.2 percentage points. Global firms' increased holdings of safety stocks[2] to strengthen supply-chain resilience also appear to have cushioned the shock.

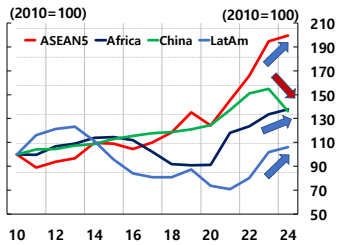
The impact of the Middle East conflict on global trade was also smaller than initially expected, reflecting lower oil dependence in major economies and enhanced resilience to supply disruptions. The shock was buffered by an increase in alternative energy sources—such as U.S. shale oil and expanded renewable energy in other regions—and the alternative transport routes[Figure 3] and expanded procurement from non-Middle Eastern sources, even as the blockade of the Strait of Hormuz significantly curtailed Middle Eastern oil and gas supplies and regional trade.

[Figure 1] Contribution of IT and non-IT to globa goodsl trade[1)]



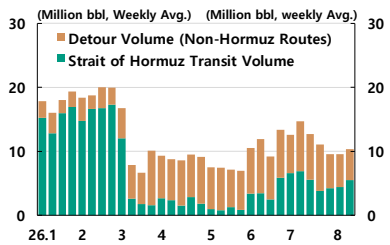
Note: 1) Nominal terms
Sources: WTO, UNCTAD, Morgan Stanley, Research Department calculations

[Figure 2] Net FDI Inflows by Region



Source: UNCTAD

[Figure 3] Crude volumes passing through and bypassing the Strait of Hormuz[1)]



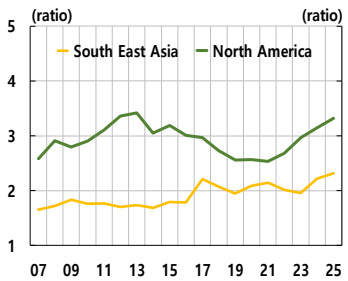
Note: 1) Based on Middle Eastern countries
Sources: Kpler, Research Department calculations

2) Firms have increased their inventories of energy and raw materials since the 2010s, and this trend intensified by the pandemic and the Russia-Ukraine war.

While global trade has remained resilient, driven by expanded AI investment and the rerouting of exports due to geopolitical risks, Its contribution to economic growth may be weaker than in the past. According to WTO data, around 67% of AI-related trade, including semiconductors, is concentrated in Asia for 2025, with about 60% of this consisting of intermediate goods traded through third countries, such as those in Southeast Asia. Following U.S. tariff increases, exports involving simple assembly or processing in Southeast Asia have also begun to rise again. Such an increase in the trade of intermediate goods[Figure 4], which involves repeated border crossings and processing, gross trade value measured on a customs basis can increase sharply. However, since the actual value added may not increase proportionally[3], the gap between these two measures could widen[Figure 5].

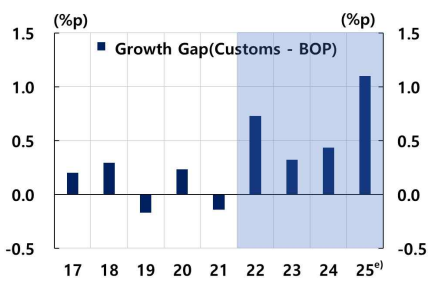
Meanwhile, the rise in indirect trade to circumvent geopolitical risks, such as U.S.-China tensions and instability in the Middle East, could exert growing upward pressure[4] on global inflation, as such trade entails higher costs[Figure 6] rather than value creation.

[Figure 4] Extra-Regional trade in Intermediate Goods[1]



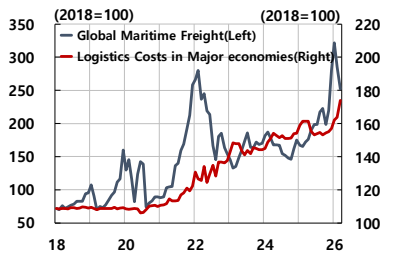
Note: 1) Extra-regional trade in intermediate goods / Intra-regional trade in intermediate goods
Sources: WTO, Research Department calculations

[Figure 5] Difference in Growth Rates between Customs- based Exports and the Balance of Payments[1]



Note: 1) Difference in growth rates between goods trade on a customs basis (CPB) and on a change-of-ownership basis (estimated using BOP data, similar to GDP exports) (in real terms).
Sources: WTO, CPB, IMF, Research Department calculations

[Figure 6] Maritime Freight Rates and Logistics Costs[1]



Note: 1) Global Maritime Freight rates refer to the Clarksea Composite Index; logistics costs in major economies are the weighted average of the PPI for logistics and storage services in five countries, including the United States and Germany; 2026 figures are as of the first quarter.
Sources: Clarksons Research, CEIC

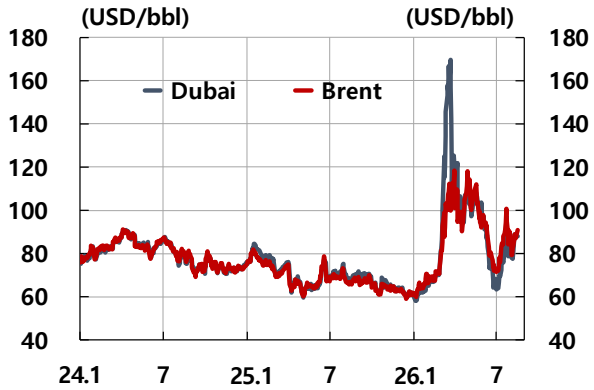
3) For instance, consider a scenario where Country A exports 40 units of intermediate goods to Country B, which adds 40 units of value and exports 80 units to Country C. If Country C then adds 20 units of value to produce a final good worth 100, global value added would be 100, while total trade would amount to 120 (=40+80). Consequently, an increase in the number of intermediate trade stages can widen the gap between the growth rates of total trade and value added.

4) The World Bank (2023) and the Federal Reserve (2025) noted that rising costs of intermediate goods, driven by trade tensions and supply chain restructuring, continue to have a persistent impact on inflation.

1-3. Global oil prices (Brent crude) are forecast to decline gradually as supply-chain disruptions ease, supported by alternative routes and oil supplies from non-Middle Eastern countries, despite high uncertainty surrounding U.S.-Iran negotiations. Global oil prices fell sharply in June after the signing of an MOU between the U.S. and Iran to end the conflict, but have recently risen back to the $90 level as uncertainty surrounding the negotiations mounted from July onward. Looking ahead, global oil prices are forecast to trend downward as the global crude supply chain is restructured through alternative export routes and increased production by non-Middle Eastern producers, and transit through the Strait of Hormuz partially resumes. However, the pace of the decline is expected to be moderate as demand for crude oil restocking in major economies increasingly materializes. Uncertainty regarding the price trajectory also remains high, depending on the progression of U.S.-Iran negotiations.

Global oil prices rise to the $90 level amid heightened uncertainty over U.S.-Iran negotiations

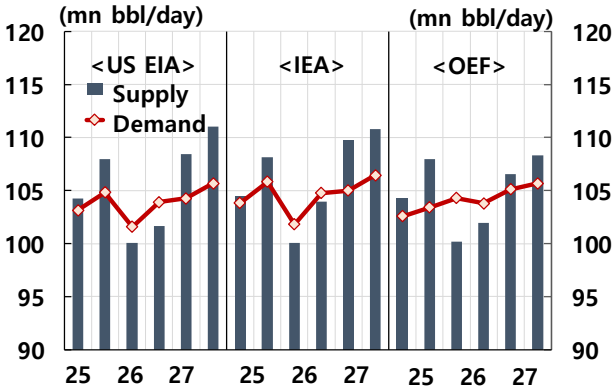
[Figure 1.3] Global Oil Prices



Sources: Bloomberg, Korea National Oil Corporation

Global crude oil supply expected to expand gradually

[Figure 1.4] Crude Oil Supply and Demand Forecast[1)]



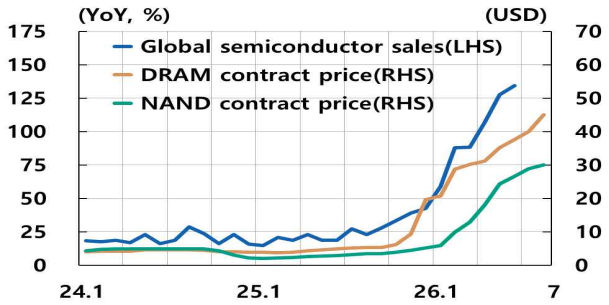
Note 1) Based on semi-annual actuals and forecasts
Sources: US IEA, IEA, OEF

1-4. The global semiconductor sector is expected to continue its underlying expansion supported by the AI diffusion, while a potential adjustment to the pace of AI investment remains as a key risk.

Global semiconductor sales continued to rise sharply in the second quarter, led by memory chips for AI servers. Although concerns over the profitability of AI investments mounted in the third quarter, overall demand conditions remain robust, as major big tech companies revised up their investment plans supported by strong earnings from cloud services. The global semiconductor industry is forecast to continue its underlying expansion, as steady demand growth from the diffusion of AI is likely to outpace supply expansion, which is constrained by time lags. However, risks to the pace of AI-related investment remain significant on both up and downside, depending on the profitability of AI investment, the pace of AI diffusion, and changes in financing conditions.

Sharp Increase in Global Semiconductor Sales

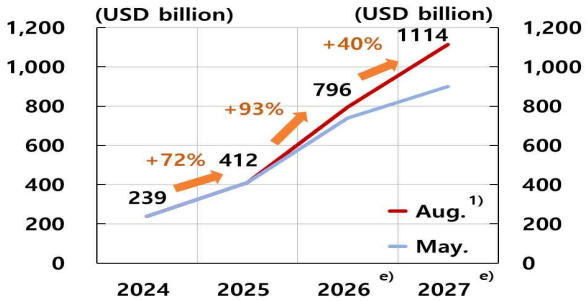
[Figure 1.5] Global semiconductor Sales Growth Prices[1)]



Note: 1) Based on DDR5 16Gb for DRAM and MLC 128Gb for NAND
Souces: WSTS, DRAMeXchange

U.S. Big Tech Companies to Revise Up AI Infrastructure Investment Plans

[Figure 1.6] U.S. Big Tech CaPex Forecast



Note: 1) As of August 13
Source: Bloomberg

Box 3 Key Changes in Assumptions from the May 2026 Outlook

▶ **Global economic growth rate(%): 2025 3.5 → 2026 3.0(0.1↑) → 2027 3.2(0.1↑)**

- **The global economic growth** forecasts for 2026 and 2027 have been revised **upward by 0.1pp** each, reflecting robust AI-related investment and global trade, as well as the easing of energy supply chain disruptions.

- Growth forecasts for the **United States** for 2026 and 2027 have been revised **upward by 0.1pp** each, reflecting robust AI investment and resilient consumption. Forecasts for the **euro area** remain unchanged. For **China**, the 2026 forecast has been revised **downward by 0.1pp** due to continued weakness in domestic demand despite strong exports, while the 2027 forecast remains unchanged.

▶ **Global trade growth(%): 2025 5.0 → 2026 4.2(1.4↑) → 2027 4.0(0.8↑)**

- Growth forecasts for 2026 and 2027 have been revised **upward by 1.4pp and 0.8pp,** respectively, reflecting robust trade linked to AI infrastructure investment.

▶ **Global oil prices(Brent crude, $/barrel): 2025 68 → 2026 86(7↓) → 2027 74(6↓)**

- Forecasts for 2026 and 2027 have been revised **downward by $7 and $6,** respectively, reflecting eased supply chain disruptions due to alternative routes and increased crude oil supplies from non-Middle Eastern countries.

<Assumptions for the Global Economy[1)]>

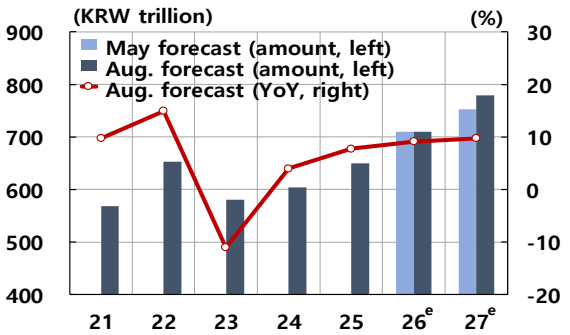
(%)	2025	2026			2027[e)]		
		H1[2)]	H2[e)]	Year[e)]	H1	H2	Year
Global Economy[3)]	3.5	3.0	3.0	3.0 [2.9]	3.1	3.2	3.2 [3.1]
• United States	2.1	2.4	1.9	2.2 [2.1]	2.3	2.0	2.1 [2.0]
• Euro Area	1.2	0.7	0.9	0.8 [0.8]	1.1	1.2	1.2 [1.2]
• China	5.0	4.7	4.5	4.5 [4.6]	4.3	4.4	4.3 [4.3]
Global Trade Growth[3)]	5.0	4.9	3.4	4.2 [2.8]	3.7	4.3	4.0 [3.2]
Brent oil prices[4)]	68	88	84	86 [93]	76	72	74 [80]

Notes: 1) Figures in [ ] are May 2026 projections 2) Figures for the global economy and global trade are forecasts
3) Year-on-year 4) USD/barrel, by period average.
Sources: Statistics Offices of each region, Bloomberg, Research Department.

1-5. Consolidated fiscal expenditures of the central government are projected to maintain strong growth, supported by robust tax revenues and expansionary fiscal policy stance. In the first half of this year, fiscal expenditures rose by 10.1% year-on-year, driven by the implementation of a supplementary budget (confirmed by the National Assembly on April 10) and the accelerated spending[5] of the public sector. Fiscal expenditures are also expected to remain strong in the second half as robust tax revenues[6] persist. For next year, growth in fiscal expenditures is projected to expand further compared to this year, given the government's budget proposal guidelines targeting total spending of 800 trillion won + α.

Strong Growth Forecast for Central Government Fiscal Expenditures

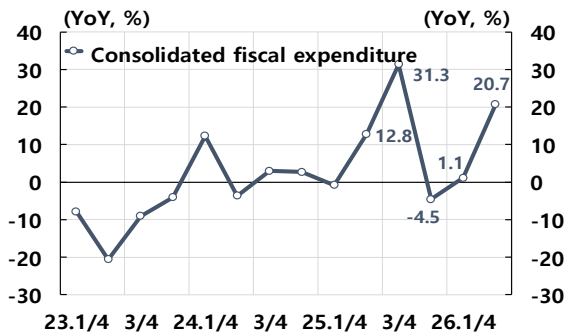
[Figure 1.7] Consolidated Fiscal Expenditures: Volume and Growth Rate



Sources: Ministry of Planning and Budget, Bank of Korea

Substantial Increase in Fiscal Expenditures in the Second Quarter

[Figure 1.8] Quarterly Consolidated Fiscal Expenditures



Source: Ministry of Planning and Budget

1-6. Housing sales prices in the Seoul metropolitan area are expected to remain on an upward trend, led mainly by lower- and mid-priced housing amid concerns over supply-demand imbalances, although government policy is likely to act as a downside factor. In Seoul, housing price growth has accelerated since April, particularly in lower- and mid-priced areas, reflecting a decline in new housing supply and a shift from renting to buying prompted by rising *jeonse* and monthly rents. In the rest of the Seoul metropolitan area, price increases have been particularly pronounced since June in parts of Gyeonggi Province with good access to major IT companies. In response, the government announced a succession of housing market measures, including the designation of regulated areas (June 30), the strengthening of property holding taxes (August 3), and a plan to accelerate housing supply (August 13).[7] Going forward, housing sales prices in the Seoul metropolitan area are projected to continue rising, as end-user demand for lower- and mid-priced apartments remains firm amid expectations of further price increases stemming from concerns over supply-demand imbalances. However, the government's policy stance aimed at

5) Prompt budget execution in the public sector totaled KRW 416.6 trillion (63.3% execution rate), exceeding the first-half target of KRW 395.8 trillion (60.2%) (Ministry of Planning and Budget press release, July 8).

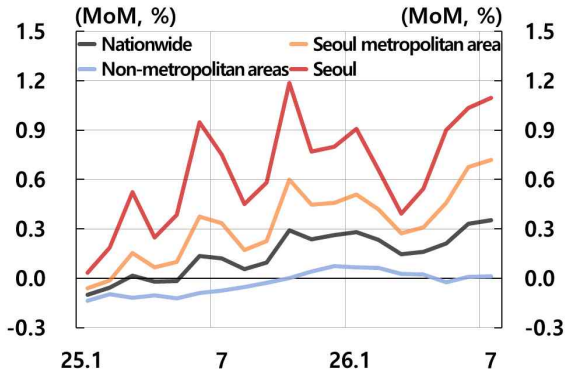
6) ► Cumulative national tax revenue collection rate (%) as of June: 2025 50.8 → 2026 53.7 (5-year average 52.1)

7) Following the announcement of the government's housing market measures, weekly apartment sales price growth in the Seoul metropolitan area moderated somewhat (Seoul metropolitan area: 0.22% in the first week of July → 0.15% in the third week of August; Seoul: 0.30% → 0.22%; Gyeonggi: 0.23% → 0.15%).

stabilizing the housing market is expected to exert downward pressure on prices. In non-metropolitan areas, housing price trends are likely to diverge across regions depending on supply-demand conditions and residential environments.

Apartment Sales Prices Continue to Rise in the Seoul Metropolitan Area

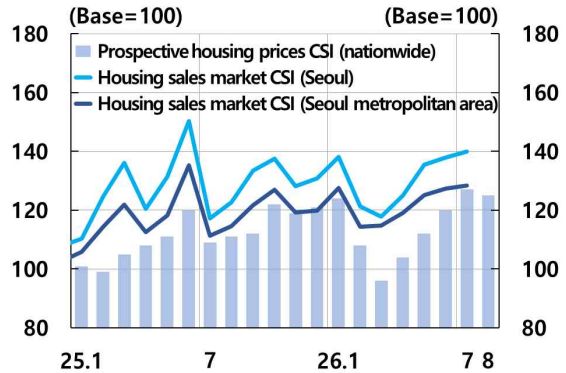
[Figure 1.9] Housing sales price index (Monthly)[1)]



Note: 1) Based on monthly survey data
Source: Korea Real Estate Board

Expectations for Housing Price Increases Continue to Rise Following an April Rebound

[Figure 1.10] Prospective housing prices CSI and Housing sales market CSI

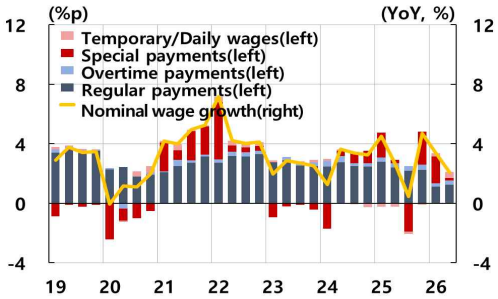


Sources: Bank of Korea, Korea Research Institute for Human Settlements

1-7. Nominal wage growth is forecast to accelerate. In the second quarter, nominal wage growth moderated to 2.1%, down from the first quarter. This deceleration was primarily attributable to continued modest growth in regular payments amid weakness in the construction and petrochemical sectors, combined with a smaller increase in special payments—particularly in the transport sector—due to the conflict in the Middle East. Going forward, nominal wage growth is expected to accelerate, led by the IT sector. Specifically, the increase in special payments is projected to exceed previous expectations, as earnings of major IT enterprises have been stronger than expected. However, the delayed recovery in non-IT sectors, such as construction, remains a downside risk.

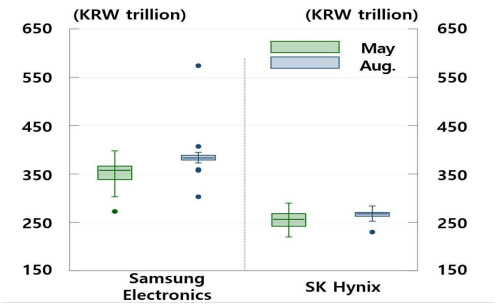
April-May nominal wage growth moderated due to a decline in special payments

[Figure 1.11] Nominal Wage Grwoth rate and Contributions



Performance bonus payments at major IT enterprises are forecast to expand

[Figure 1.12] Distribution of Operating Income Projections for Samsung Electronics and SK Hynix[1)2)]



Notes: 1) Based on 2026 operating income forecasts from 25 domestic securities companies; horizontal lines represent the median and the 1st and 3rd quartiles.
2) May 2026 as of May 28, and August 2026 as of August 13
Sources: Ministry of Employment and Labor, FnGuide

2. Macroeconomic Outlook for Korea

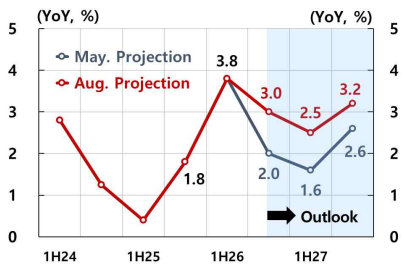
Economic Growth

2-1. GDP growth in 2026 is projected at 3.3% (+0.7 pp from the May forecast), as the semiconductor boom and its spillover effects more than offset the ongoing uncertainty surrounding the situation in the Middle East. In **Q2 2026**, growth came in at 0.6% QoQ (3.7% YoY), as the Middle East-driven supply shock was substantially cushioned by government measures, exports remained strong, and consumption sustained its improving momentum, supported by the supplementary budget. In the **second half**, IT-led export and investment strength is expected to continue, and consumption should sustain its underlying recovery. Non-IT sector weakness is also expected to ease gradually as Middle East-driven energy supply-chain disruptions abate. By quarter, growth is expected to slow slightly to 0.3% QoQ (2.6% YoY) in **Q3**, reflecting base effects from the recent run of strong growth, before rebounding to a solid 0.5% QoQ (3.3% YoY) in **Q4**. **In 2027, as the semiconductor upcycle continues and its spillover to other sectors gathers pace, both domestic demand and exports are expected to remain solid, resulting in annual growth of 2.9%.**[8] However, significant uncertainties remain regarding the pace of AI investment, the situation in the Middle East, and U.S. tariff policies. Additionally, the concentration of direct benefits from the semiconductor boom within certain industries and groups may somewhat limit the extent of positive spillover effects.

* The upward revision to preliminary GDP figures (+0.2pp), together with semiconductor boom (+0.35pp), accelerated investment in three major mega-projects (+0.1pp), and a smaller-than-expected impact from the Middle East (+0.1pp), contributed to the upward revision to growth outlook.

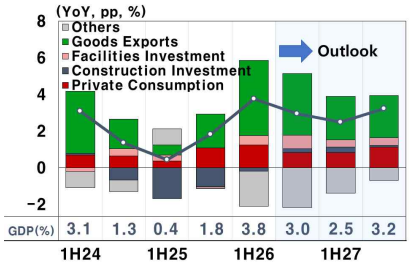
Robust economic growth projected, driven by the semiconductor boom and broadening spillover effects

[Figure 2.1] GDP Forecast Path



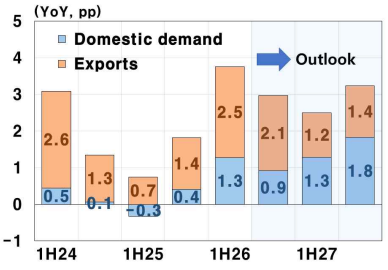
Source: Research Department

[Figure 2.2] Contribution by Expenditure Component



Source: Research Department

[Figure 2.3] Net Growth Contribution of Domestic Demand and Exports[1]

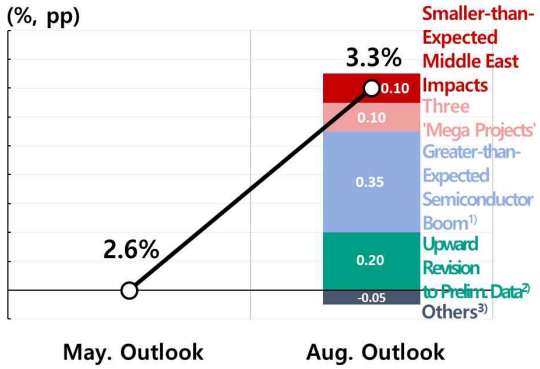


Note: 1) Estimated after deducting import-induced effects
Source: Research Department

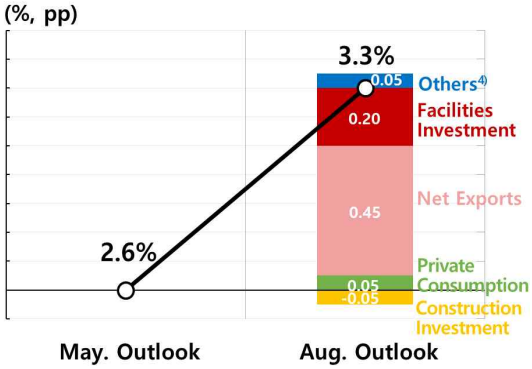
8) As production in the IT sector continues to grow driven by expanding demand for semiconductors, coupled with rising semiconductor prices amid supply shortages, the sector's share of GDP is projected to expand significantly this year. Accordingly, the IT sector's strong contribution to growth is expected to persist into next year.
Contribution of IT manufacturing (computers, electronics and optical equipment) to growth: (2015-24 average) 0.6%p → (2025) 0.8%p → (2026 Q1) 1.7%p

GDP growth for this year forecast at 3.3%, revised upward by 0.7 pp from the May forecast

[Figure 2.4] Decomposition by Main Drivers



[Figure 2.5] Decomposition by Expenditure Component

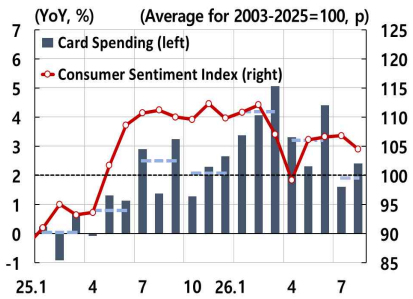


Note: 1) Higher-than-expected semiconductor export volumes and prices, and expansion of AI-related items
2) Upward revision of preliminary GDP figures for 2025 and Q1 2026
3) Recent stock market correction, rising market interest rates, etc.
4) Investment in intellectual property products, changes in inventories, etc.

2-2. By sector, private consumption is projected to continue its recovery, bolstered by improving household income conditions. In the second quarter, private consumption of both goods and services showed solid growth, driven by promotional events by major tech companies and government policies. While the third-quarter equity market correction exerted partial downward pressure[9], centered on consumer discretionary spending, private consumption is viewed as maintaining a modest recovery, driven by moderating oil prices and strong initial sales of new IT products. Looking ahead, private consumption is projected to maintain its recovery momentum as the semiconductor boom continues to improve household income conditions.[10] Accordingly, private consumption is forecast to increase by 2.1% year-on-year this year and by 2.3% next year.

Sustained Recovery in Private Consumption

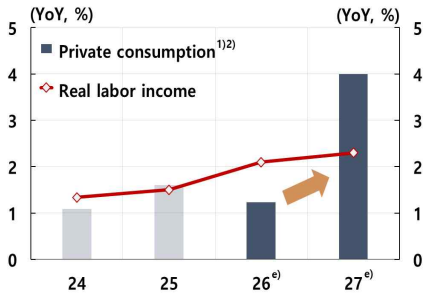
[Figure 2.6] Consumer Sentiment and Card Spending[1)2)]



Notes: 1) In real terms; dotted lines represent quarterly averages
2) August: based on August 1–14
Source: Bank of Korea

Improved Income Conditions from the Semiconductor Boom Expected to Support Consumption Recovery

[Figure 2.7] Income Conditions and Private Consumption



Notes: 1) Estimated as 'employed persons × average wage per person / consumer prices'
2) 2026-27 reflect Research Department outlook
Source: Bank of Korea

9) See Box 4 "Impact of Recent Stock Market Correction on Consumption" for further details
10) However, as the benefits of robust IT exports are concentrated in a limited number of sectors, it may take some time for these gains to translate into a broad-based expansion of consumption.

Box 4 Impact of Recent Stock Market Correction on Consumption

Concerns have grown that the recent correction in equity prices could weigh on the ongoing recovery in consumption. Accordingly, we analyzed recent credit card spending trends to assess the impact of falling equity prices on consumption.

To begin with, the magnitude of the recent market correction is not insignificant compared to previous episodes of sharp declines in equity prices.[Table 1] The 19.2% decline in the KOSPI from the end of the second quarter to the August 20 closing price was the sixth largest quarterly drop since 1995, following the past episodes of sharp market corrections such as the Asian Financial crisis, the dot-com bubble, and the global financial crisis. Market volatility, measured by the VKOSPI, reached its highest level since the series began. Notably, cumulative net stock purchases by households—approximately ₩150 trillion from January to August 20, 2026—are larger than those in any previous correction period, reflecting the significant expansion of household participation in the equity market this year.

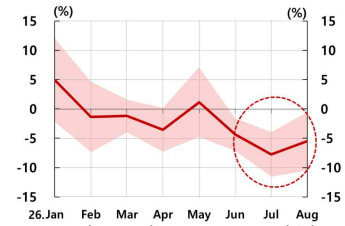
[Table 1] Past Major Stock Market[1] Correction Periods

Period	Background	Decline[2] (QoQ, %)	Decline[2] (Maximum fall, %)	Volatility[3]	Net household purchases(trillion won)[4]
1997.4/4	Currency crisis	-41.8	-55.1	..	8.5 (3.0%)
2000.3/4	Dot-com bubble	-25.3	-36.4	..	2.2 (0.7%)
2008.4/4	Global Financial crisis	-22.3	-43.7	62.4	5.3 (1.0%)
2026.3/4[5]	**AI investment profitability concerns, etc**	**-19.2**	**-38.6**	**78.0**	**Around 150 (10%range)**

Notes: 1) Based on the KOSPI index 2) QoQ is based on quarter-end levels; maximum drawdown is the decline from the peak to the trough during the correction period 3) Based on the VKOSPI
4) Based on the flow of funds, cumulative total for the last three quarters; 2026 is based on internal estimates for the period January 1–August 20, with figures in parentheses denoting the ratio to total disposable income of households
5) As of August 20, relative to the end of June 2026
Sources: Bank of Korea, KRX, and Research Department estimates

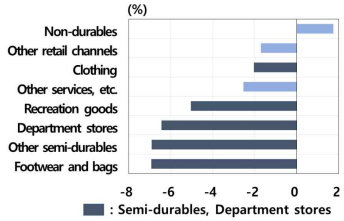
Consumption trends following the stock market correction suggest that the decline in equity prices has primarily affected items with high exposure to the stock wealth effect[11]. An analysis of credit card spending by category shows that since the downturn in equity prices began in June, consumption growth for items such as department store goods and simi-durables—relative to essential goods—has slowed compared to historical norms[12].[Figure 1] **However, the impact does not yet appear to be significant, compared with previous correction phases, when total private consumption contracted sharply over short periods[13].**[Figure 2] This is consistent with the Consumer Sentiment Index remaining above historical averages since the correction began, and overall card spending growth not decelerating significantly, even after accounting for base effects.

[Figure 1] Relative Consumption Trends for Items Sensitive to the Equity Wealth Effect[1]
Department Stores & Semi-durable Goods
Relative to Essential Goods

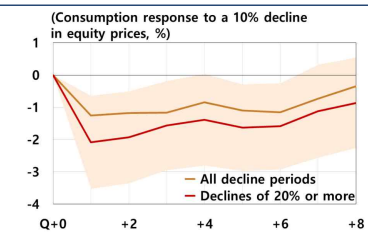


Notes: 1) Shows the extent to which spending on department stores and semi-durable goods, relative to essential goods, is below the historical average. August figures are extrapolated to a monthly basis from data for August 1–14. Shaded area represents the 90% confidence interval.
Source: Research Department estimate

By Detailed Item



[Figure 2] Historical Average Impact of Equity Prices on Consumption[1]



Note: 1) The shaded area represents the 90% confidence interval during periods of decline of 20% or more.
Source: Research Department estimate

11) Brown·Wright (2023) and Woo et al. (2013) find that stock wealth effects are concentrated in discretionary spending, including department stores, durable and semi-durable goods, and travel. We exclude durables from the treatment group to avoid confounding effects from firm-specific promotions and the expiration of individual consumption tax cuts.
12) Using monthly real credit card expenditures from 2015 to 2026, the analysis applies a triple-difference method to estimate

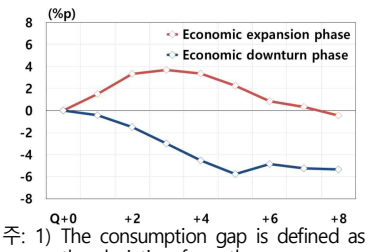
The limited impact of the decline in equity prices on consumption can be attributed to three main factors. First, the recent correction occurred during a phase of economic expansion. Historical evidence suggests that the impact on consumption varies significantly depending on the underlying economic conditions at the time of a market correction, with corrections during expansionary periods typically having a relatively modest effect on the real economy.[Figure 3] More recently, the overall economic expansion, coupled with favorable conditions such as consumer sentiment and income, appears to be buffering the negative effects of the stock market correction.

Secondly, equity prices still remain elevated relative to last year, despite the recent sharp decline. Accordingly, valuation gains have expanded significantly since last year, reaching an estimated 1 quadrillion won in the second quarter—just before the market correction (based on the change from the end of Q1 to the end of Q2).[Figure 4] Although the subsequent correction led to substantial valuation losses, households as a whole remain in a net gain position, which is assessed to partially offset the adverse effects of the price decline.

Finally, equity prices have experienced repeated swings after a sharp plunge. The wealth effect of equities depends on whether households perceive valuation gains and losses as changes in permanent income. Recently, however, market expectations regarding the sustainability of the semiconductor upcycle have shifted back and forth.[Figure 5] As a result, households may be adopting a wait-and-see approach rather than significantly altering their consumption patterns, as they may not view the recent price correction as a change in permanent income.

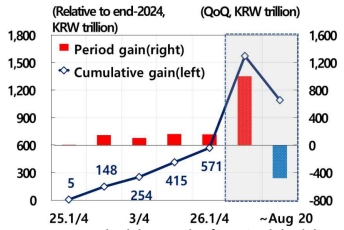
However, it is still too early to draw firm conclusions about the impact of the stock market correction on consumption, based on the data available thus far. Notably, household net stock purchases were concentrated in the second quarter, when equity prices peaked. Furthermore, stock ownership has broadened to include groups with a high marginal propensity to consume, such as youth and low-to-middle income earners. Consequently, it cannot be ruled out that a sustained market correction could exert additional downward pressure on consumption with a time lag.

[Figure 3] Cumulative Consumption Gap[1] by Economic Phase[2] During Equity Market Corrections



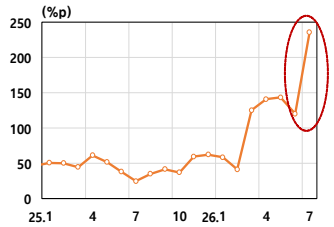
주: 1) The consumption gap is defined as the deviation from the average growth rate of the preceding eight quarters.
2) "Economic downturn" is defined as an economic decline occurring within 12 months of a decline in equity prices.
Source: Research Department estimates

[Figure 4] Households Valuations Gains on Domestic Equities by Quarter[1]



Note: 1) "Households' end-of-period holdings of domestic equities - net acquisitions for the period" in the Flow of Funds accounts; data from 2026 Q2 onwards are BOK estimates based on KRX individual investor trading trends.
Source: Bank of Korea, Research Department estimates

[Figure 5] Degree of Fluctuation of Kospi Returns[1]



Notes: 1) Gross change - Net change ($\sum_{d\in m}|r_d| - \left|\sum_{d\in m} r_d\right|$, r_d denotes daily returns over the past three months)
Source: Research Department estimates

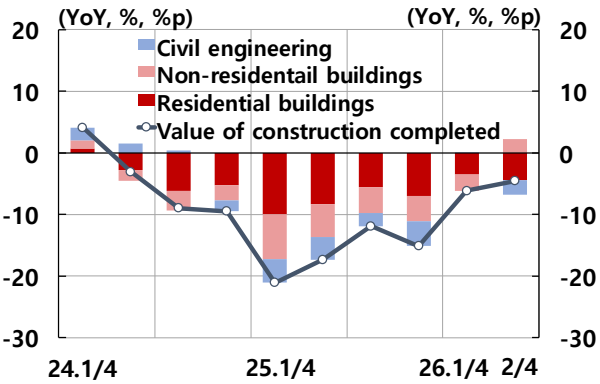
spending changes from June–August relative to January–May. It compares a treatment group (department stores and semi-durables, including clothing and shoes) with a control group (essential goods, including supermarkets, hospitals, and telecommunications), accounting for historical fluctuations. Placebo tests show no statistically significant treatment-group spending changes in other years.

13) Using a five-variable recursive VAR (1992–2025) and local projections, we find that a 10% decline in real equity prices historically reduced private consumption by over 1% within one quarter, with larger effects for corrections exceeding 20%. While direct comparison across these different models has limitations, a triple-difference estimate ([Figure 1], about 6%) combined with the 6.4% weight of affected categories suggests that consumption fell by only 0.3–0.4% from June to August this year, mainly in equity-wealth-sensitive items—well below the historical average effect.

2-3. Construction investment is projected to improve modestly, driven primarily by AI-related investment. In the second quarter, construction investment declined 0.2% quarter-on-quarter, as civil engineering contracted due to supply disruptions in construction materials, such as asphalt concrete, amid the conflict in the Middle East. Looking ahead, construction investment is expected to improve, given the recent rebound in building starts—a leading indicator—and the continued expansion of AI-related investment spending, including semiconductor plants and data centers. However, the recovery is expected to be gradual, weighed down by rising construction costs[14] and market interest rates, along with the accumulation of unsold housing in non-Seoul metropolitan areas. Overall, construction investment is forecast to increase by 0.2% this year and 1.9% next year.

Value of construction completed declines in Q2, primarily in residential buildings and civil engineering

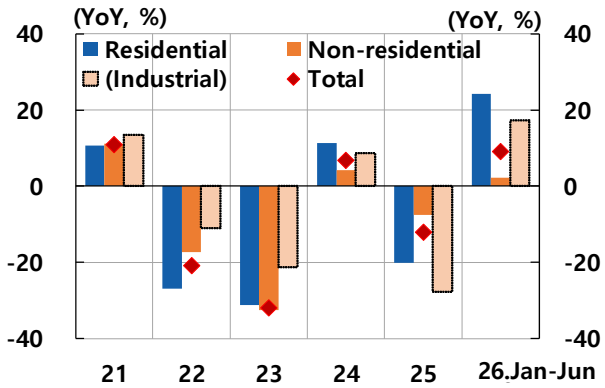
[Figure 2.8] Sectoral Contribution to the Value of Construction completed



Source: Ministry of Data and Statistics

Building starts return to growth this year, led by residential and industrial buildings

[Figure 2.9] Building Starts by Type



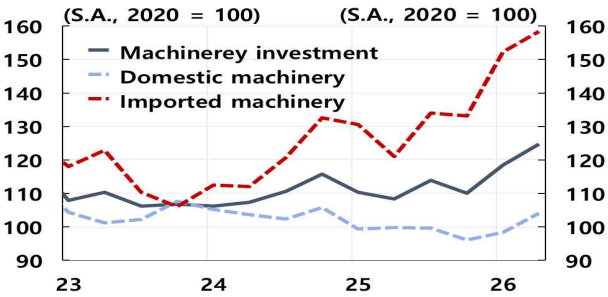
Source: Ministry of Data and Statistics

2-4. Facilities investment is forecast to increase significantly, driven by the acceleration of capacity expansion by semiconductor firms. In the second quarter, facility investment recorded strong growth, led by machinery, including semiconductor equipment. Growth remained robust into the third quarter, supported by continued increases in machinery imports and an improving trend in domestic shipments of locally produced machinery. Looking ahead, facility investment is forecast to maintain strong growth as semiconductor firms rapidly increase investment, bolstered by expanding global demand, sound financial positions, and government policies. However, weakness in transport equipment, such as passenger cars and ships, is expected to somewhat constrain the overall growth of facility investment. Overall, facility investment is forecast to increase by 6.8% this year and record a high growth rate of 4.7% next year.

14) Construction Cost Index (YoY, %): Feb '26 2.1 → Mar 2.6 → Apr 4.6 → May 5.2 → Jun 5.5

Robust growth in Machinery Investment, Driven by Imports

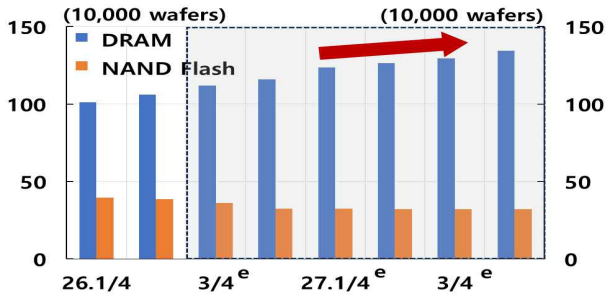
[Figure 2.10] Facilities Investment in Machinery[1)]



Note: 1) Based on the facility investment index
Source: Ministry of Data and Statistics

Projected continued expansion of production capacity by major semiconductor companies

[Figure 2.11] Domestic Production Capacity Forecast for Major Semiconductor Companies[1)]

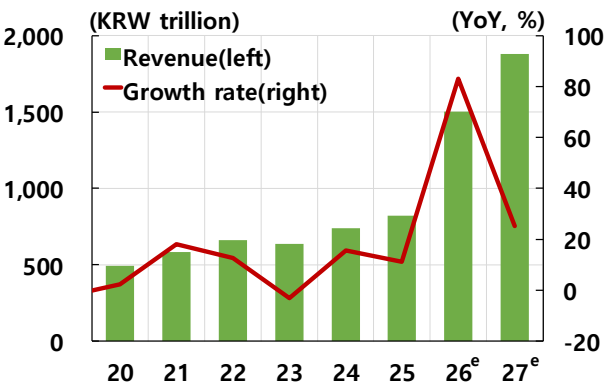


Note: 1) Based on average monthly wafer starts
Source: TrendForce (July 2026)

2-5. Investment in intellectual property products (IPP) is projected to maintain robust growth, driven primarily by R&D investment. In the second quarter, IPP investment increased by 3.3% quarter-on-quarter, reflecting expanded R&D spending by major semiconductor firms and software investment following the relaxation of the network separation rule[15)] for financial companiesinsti. Looking ahead, IPP investment is expected to sustain its growth momentum, led by R&D, given the strong revenue performance of major semiconductor companies. Investment in other IPP is also projected to continue rising, particularly in related software, amid the proliferation of AI. Accordingly, IPP investment is forecast to increase by 3.7% this year and 3.2% next year.

Improved Corporate Performance Boosts R&D Investment Capacity

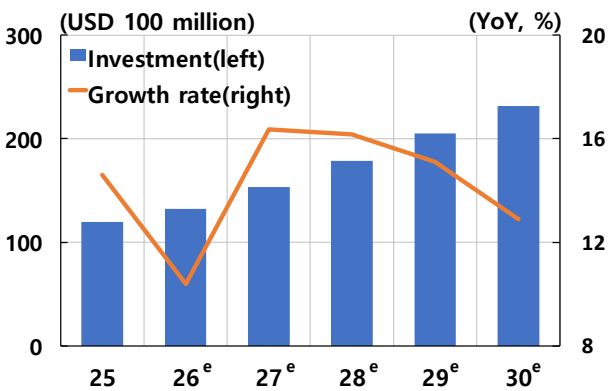
[Figure 2.12] Revenue Trends and Forecasts for the Top 5 Companies[1)]



Note: 1) Samsung Electronics, SK hynix, LG Electronics, Hyundai Motor, Kia
Source: DataGuide

Sustained Growth forecast for Software Investment

[Figure 2.13] Software Investment Forecast for Domestic Firms



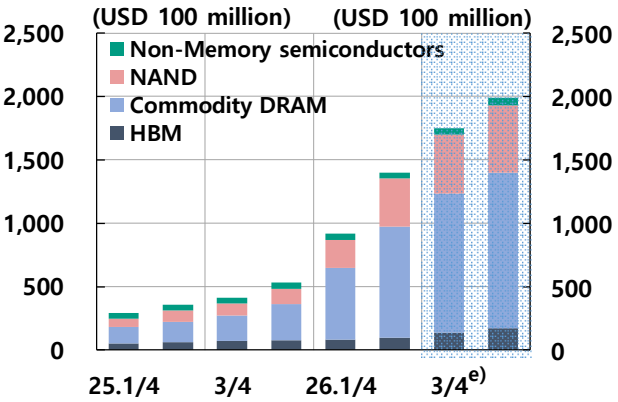
Source: Gartner Market Databook(26.6월)

15) Effective April 20, the Financial Services Commission (FSC) granted financial companies exemption from the network separation rule for the use of cloud-based Software as a Service(SaaS) in their internal networks, provided they comply with certain security standards.

2-6. Goods exports, on a real GDP basis, are forecast to grow by 9.7% this year, as AI diffusion boosts not only semiconductor exports but also non-IT exports. In the second quarter, goods exports increased 1.0% quarter-on-quarter, led by semiconductors and computers, particularly storage devices for data centers. The decline in petroleum products and chemical product exports due to the conflict in the Middle East was smaller than initially expected. Going forward, goods exports are expected to continue growing at a solid pace. Strength in IT products, including semiconductors and computers, is likely to persist amid expanding global investment in AI infrastructure, while demand for non-IT products, such as steel and metal products and machinery, is also expected to increase. Accordingly, goods exports are forecast to maintain a high growth rate of 4.6% next year. **Goods imports, on a real GDP basis**, are projected to increase by 9.8% **this year**, as disruptions to imports of raw materials such as crude oil and naphtha gradually ease and capital goods imports increase sharply, led by semiconductor manufacturing equipment. Imports are expected to grow by 4.6% next year, reflecting continued export expansion and a recovery in domestic demand.

Strong momentum in semiconductor exports continues

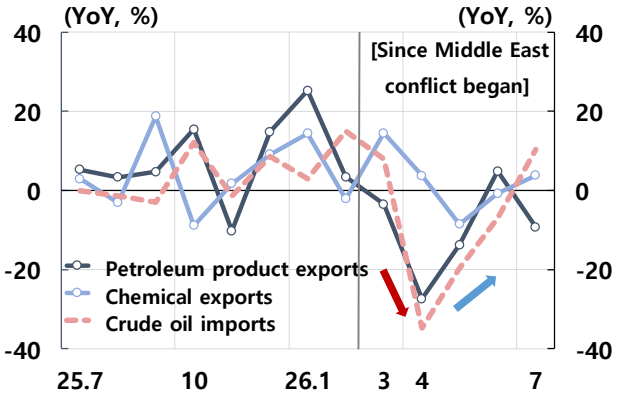
[Figure 2.14] Revenue Forecast for Major Domestic Semiconductor Companies



Sources: JP Morgan, Goldman Sachs, UBS

Smaller-than-Expected Weakness in Petroleum and Chemical Product Exports

[Figure 2.15] Export Volume Index for Petroleum Products and Chemical Products



Source: Bank of Korea

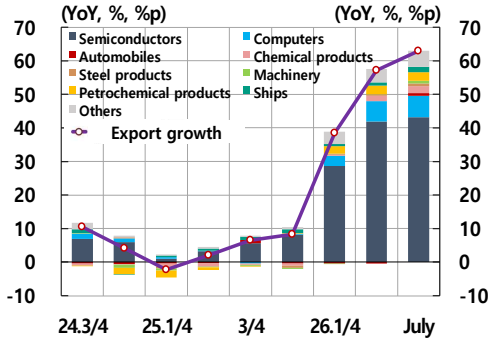
2-7. Nominal exports on a customs-clearance basis are forecast to increase sharply, led by semiconductors. In the second quarter, exports rose 57.2% year-on-year, led by semiconductors and computers, marking a sharp acceleration from 38.4% in the previous quarter. This momentum continued in July, with growth reaching 63.0%. Supported by continued strength in semiconductors and computers[16], exports are expected to exceed $1 trillion both this year and next. By product category, aside from semiconductors and computers, petroleum and chemical products are projected to grow at a solid pace, driven by higher unit prices amid supply disruptions in the Middle East. Steel/metals and machinery are also expected to maintain firm growth, supported by expanding global AI investment. Automobile exports, however, are expected to remain sluggish owing to intensifying competition from major exporting countries and the expansion of overseas production.

16) Semiconductor and computer exports surged by 160.8% and 221.5% year-on-year, respectively, in the first half of this year, supported by sharp price increases caused by supply-demand imbalances.

2-8. Nominal imports on a customs-clearance basis are forecast to increase significantly, led by capital goods, amid continued growth in exports and facilities investment. In the second quarter, imports rose 22.3% year-on-year, driven mainly by semiconductors, semiconductor manufacturing equipment, and energy, accelerating from 11.1% in the previous quarter. Imports also increased by 26.5% in July. Going forward, imports are forecast to continue growing, led by capital goods, as exports and facilities investment continue to expand.

Exports surge driven by robust performance in semiconductors and computers

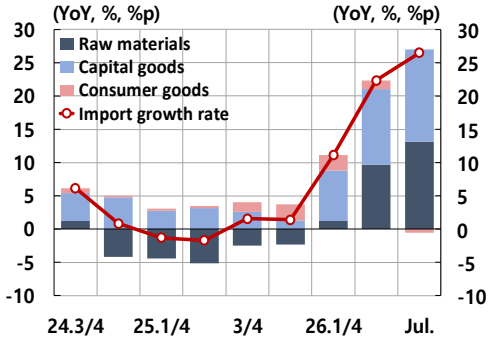
[Figure 2.16] Contribution to Exports on a Customs-Clearance Basis by Product



Source: Korea Customs Service

Imports accelerate led by raw materials and capital goods

[Figure 2.17] Contribution by Product Category to Imports on a Customs-Clearance Basis



Source: Korea Customs Service

<Outlook for GDP Growth[1)]>

(YoY, %)

	2025	2026			2027[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
GDP growth[1)]	**1.1**	3.8 <3.3>	3.0 <2.0>	**3.3** <2.6>	2.5 <1.6>	3.2 <2.6>	**2.9** <2.1>
• Private Consumption	**1.5**	2.6 <2.6>	1.7 <1.5>	**2.1** <2.0>	2.0 <1.8>	2.5 <2.3>	**2.3** <2.1>
• Construction Investment	**-9.7**	-1.5 <-0.4>	1.8 <1.6>	**0.2** <0.6>	2.6 <1.3>	1.3 <1.7>	**1.9** <1.5>
• Facilities Investment	**1.5**	5.4 <4.4>	8.3 <4.3>	**6.8** <4.4>	4.7 <2.6>	4.7 <2.8>	**4.7** <2.7>
• Investment in Intellectual Property Products	**3.0**	3.7 <2.8>	3.7 <4.1>	**3.7** <3.5>	3.0 <3.6>	3.4 <2.4>	**3.2** <3.0>
• Good Exports	**3.3**	10.8 <7.5>	8.7 <2.4>	**9.7** <4.9>	4.8 <1.2>	4.5 <5.3>	**4.6** <3.3>
• Good Imports	**1.9**	9.7 <3.9>	9.9 <2.1>	**9.8** <3.0>	5.3 <3.7>	4.0 <3.4>	**4.6** <3.5>

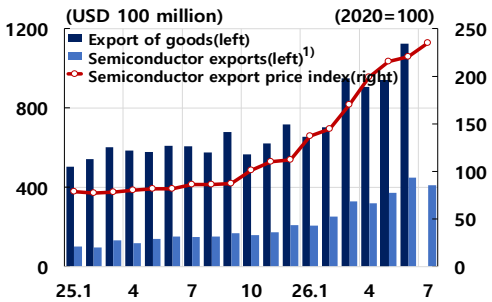
Note: 1) Figures in < > are based on forecasts as of May 2026. Source: Research Department

Current Account

2-9. The current account surplus is forecast to expand significantly this year, driven by strong semiconductor exports. The cumulative current account surplus for the first half of the year reached USD 191 billion, surpassing the annual surplus of USD 123.1 billion recorded last year. **The goods account** is expected to maintain a substantial surplus, supported by rising semiconductor demand from expanding global AI investment and price surges due to supply constraints. Despite the strong influx of foreign tourists, **the services account** deficit is expected to widen slightly despite the strong inflow of foreign tourists, as payments for intellectual property royalties increase on the back of strong performance of the IT manufacturing sector. Consequently, the current account surplus is projected to reach USD 450 billion this year and USD 430 billion next year.[17)]

Export of godds rose sharply, driven by a surge in semiconductor prices.

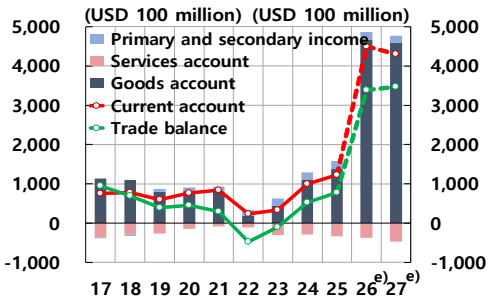
[Figure 2.18] Export of Goods and Semiconductor Export Price Index



Note: 1) On a customs-clearance basis
Sources: Bank of Korea, Korea Customs Service

Current account maintains a high surplus, led by the goods account

[Figure 2.19] Current Account



Source: Bank of Korea

<Current Account Outlook[1)]>

(USD 100 million, %)

	2025	2026			2027e)		
	Year	H1	H2e)	Yeare)	H1	H2	Year
Curent Account	**1,231**	1,910	2,590	**4,500**	2,375	1,925	**4,300**
		<1,515>	<985>	<2,500>	<1,108>	<792>	<1,900>
• Goods	**1,381**	1,938	2,733	**4,672**	2,529	2,059	**4,589**
		<1,616>	<1,056>	<2,672>	<1,256>	<899>	<2,155>
Exports (Value)[2)]	**7,093**	4,961	6,046	11,007	5,973	5,726	11,699
	(3.8)	(48.2)	(61.4)	(55.2)	(20.4)	(-5.3)	(6.3)
Imports (Value)[2)]	**6,319**	3,587	4,037	7,624	4,055	4,178	8,233
	(0.0)	(16.8)	(24.3)	(20.7)	(13.0)	(3.5)	(8.0)
• Services	**-345**	-118	-252	**-370**	-216	-255	**-471**
		<-153>	<-203>	<-356>	<-198>	<-234>	<-433>
• Primary and Secondary Income	**195**	89	108	**198**	62	121	**183**
		<52>	<131>	<184>	<50>	<127>	<177>

Notes: 1) Figures in < > are based on the May 2026 forecast
2) Figures in ( ) denote the year-on-year growth rate.
Source: Research Department

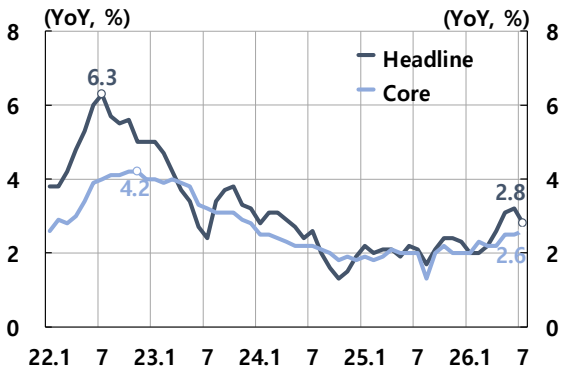
17) However, given the high uncertainty surrounding the future price trajectory of semiconductors, the forecast is subject to substantial upside and downside risks.

Prices

2-10. Headline inflation fell to 2.8% year-on-year in July from 3.2% in the previous month. In contrast, core inflation edged up slightly to 2.6%, from 2.5% in the previous month. The increase in petroleum product prices moderated following a reduction in the price cap, while the rise in prices of agricultural, livestock, and fishery products also slowed, owing to increased shipments of certain agricultural products and government price stabilization measures. Core inflation, excluding food and energy, rose to 2.6%, slightly above the 2.5% in the previous month, as travel-related service prices remained elevated and price increases for durable goods, such as IT equipment and electric vehicles, accelerated. **Household inflation expectations (for the next 12 months) remain in the mid-to-high 2% range.**

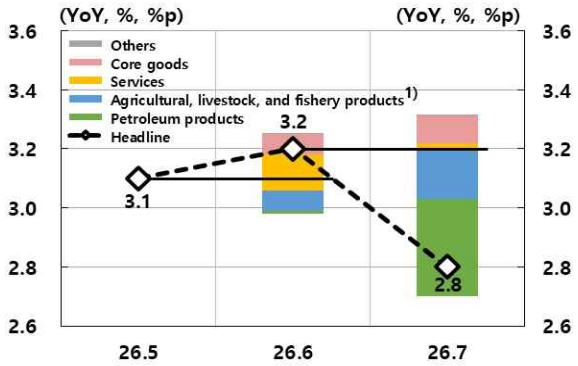
Headline Inflation slows, while Core Inflation picks up

[Figure 2.20] Headline and Core Inflation



Source: Ministry of Data and Statistics

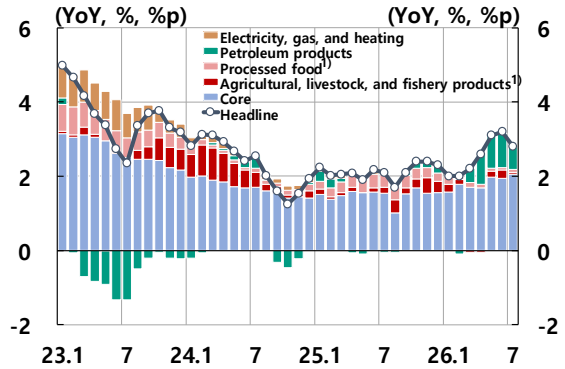
[Figure 2.21] Decomposition of the Difference in Monthly Contributions to the Growth Rate



Note: 1) Excluding core items
Sources: Ministry of Data and Statistics, Research Department

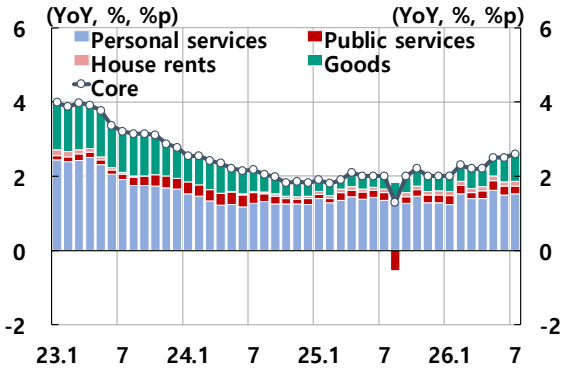
Headline Inflation moderates in July, mainly due to Petroleum Products

[Figure 2.22] Headline Inflation and Contribution



Note: 1) Excluding core items
Sources: Ministry of Data and Statistics, Research Department

[Figure 2.23] Core Inflation and Contribution

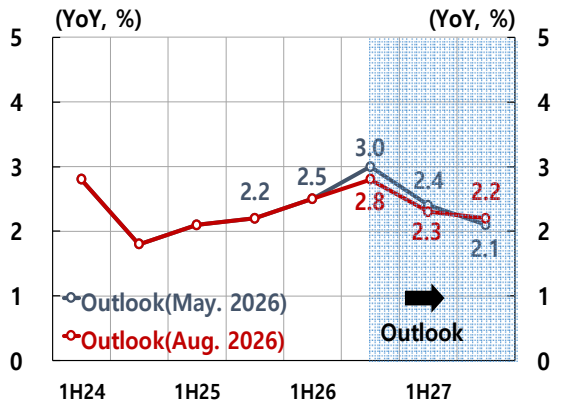


Sources: Ministry of Data and Statistics, Research Department

2-11. Headline inflation is projected to be 2.7% this year, unchanged from the May forecast, as the pass-through of cost-shock persists and demand-side pressures gradually increase amid the economic recovery. Core inflation is also expected to remain elevated at 2.5%, 0.1 pp higher the May forecast. Although uncertainty surrounding the situation in the Middle East remains high, the rise in Petroleum product prices is expected to moderate toward the end of the year. Prices of agricultural, livestock, and fishery products may face upward pressure in the short-term due to heatwaves, but government measures are expected to cushion much of the pressure. Core inflation is expected to remain elevated amid the continued pass-through of cost shocks and expanding demand-side pressures. In particular, price increases for durable goods are expected to accelerate due to higher semiconductor costs. **Next year, headline inflation is expected to decline to 2.3%, supported by downward pressure from global oil price trends. In contrast, core inflation is projected to remain elevated at 2.5%, as demand-side inflationary pressures expand while the pass-through effects of cost shocks gradually ease.**

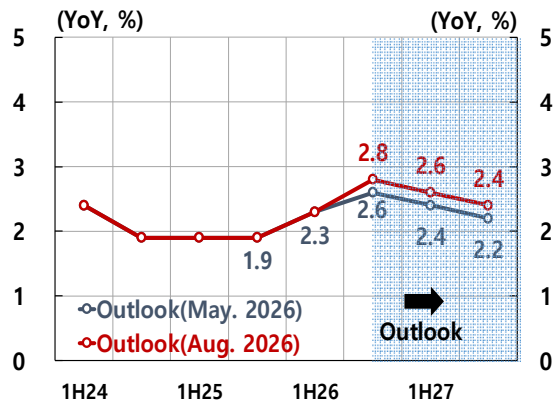
Headline inflation expected to moderate amid falling oil prices, while core inflation remains elevated

[Figure 2.24] Headline Inflation Forecast



Sources: Ministry of Data and Statistics, Research Department

[Figure 2.25] Core Inflation Forecast



Sources: Ministry of Data and Statistics, Research Department

<Inflation Outlook[1)]>

(YoY, %)

	2025	2026			2027[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
Headline Inflation	**2.1**	2.5	2.8	**2.7**	2.3	2.2	**2.3**
		<2.5>	<3.0>	<2.7>	<2.4>	<2.1>	<2.3>
• Core Inflation[2)]	**1.9**	2.3	2.8	**2.5**	2.6	2.4	**2.5**
		<2.3>	<2.6>	<2.4>	<2.4>	<2.2>	<2.3>

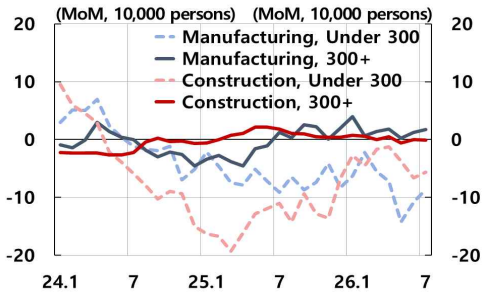
Notes: 1) Figures in < > are based on the May 2026 forecast
2) Excluding food and energy
Sources: Ministry of Data and Statistics, Research Department

Employment

2-12. Employment has recovered gradually since June. Year-on-year growth in the number of employed persons resumed in June and has since accelerated, primarily driven by an increase in public sector employment. Conversely, private sector employment remained sluggish, particularly in vulnerable sectors with fewer than 300 employees in manufacturing and construction, amid the continued impact of the conflict in the Middle East. By employment status, regular employees saw a recovery in growth, while the number of temporary and daily workers continued to decline.

Sluggish employment in manufacturing and construction, primarily among smaller firms

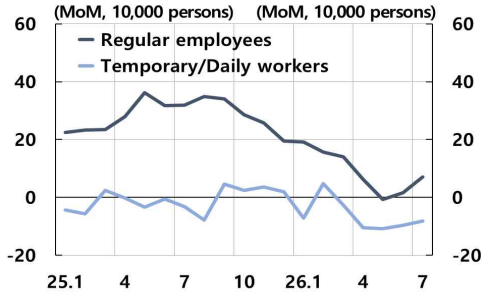
[Figure 2.26] Employed Persons by Industry and Size



Sources: Ministry of Data and Statistics

Accelerating growth in regular employment, continued decline in temporary and daily workers

[Figure 2.27] Employed Persons by Employment Status



Sources: Ministry of Data and Statistics

2-13. The growth in the number of employed persons is forecast to slow to 140,000 this year, down from 190,000 last year. The employment rate is expected to remain at last year's level of 62.9%. The forecast for the increase in employed persons was revised downward by 40,000 from the May outlook, reflecting a slower-than-expected recovery in private sector employment due to weak hiring in vulnerable sectors, such as construction, amid the ongoing impact of the conflict in the Middle East. However, **private sector employment** is projected to recover in the second half of the year as the impact of the conflict gradually eases and the economic recovery continues. Potential risks to the outlook include the progress of corporate rehabilitation proceedings for certain retailers and the pace of employment recovery in vulnerable sectors.

<Employment Outlook[2)]>

(10,000 persons, %)

	2025	2026			2027[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
Employment Change[1)]	**19**	11 <18>	18 <19>	**14** <18>	23 <17>	17 <18>	**20** <17>
Unemployment Rate	**2.8**	3.2 <3.1>	2.6 <2.6>	**2.9** <2.8>	3.1 <3.0>	2.6 <2.6>	**2.8** <2.8>
(S.A.)	-	2.8	2.9	-	2.8	2.8	-
Employment Rate[3)]	**62.9** **[69.8]**	62.5 [69.7]	63.2 [70.3]	**62.9** **[70.0]**	62.8 [69.9]	63.3 [70.4]	**63.0** **[70.1]**

Notes: 1) year-on-year 2) < > denote the May 2026 forecast
3) Persons aged 15 and over; [ ] denote those aged 15–64 (OECD standard)
Sources: Ministry of Data and Statistics, Research Department

3. Risk Assessment

Key Risks to the Outlook

3-1. The growth forecast path is subject to considerable uncertainty related to the pace of AI investment and the Middle East situation, while for inflation, oil price, exchange rate movements and demand-side pressures are the key risk factors.

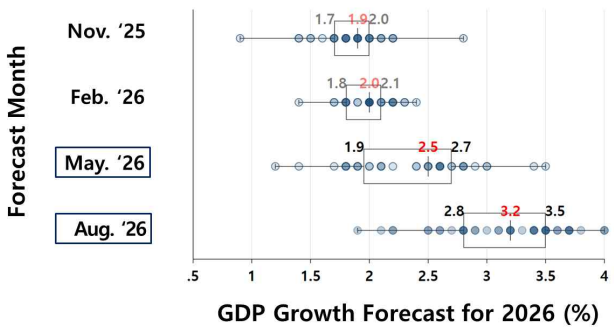
	Upside Risks	Downside Risks
Growth	▪ Further expansion of semiconductor-related exports and investment amid AI proliferation ▪ Easing of Middle East tensions and normalization of energy supply chains ▪ Broader spillover (spillover effect) from the IT boom to other sectors	▪ Adjustment in real investment and increased financial-market volatility amid AI profitability concerns ▪ Renewed escalation of Middle East tensions ▪ Intensified U.S. trade pressure and tariff burden
Inflation	▪ Rise in oil prices from a deterioration in the Middle East situation ▪ Broadening demand-side price pressures	▪ Larger declines in oil prices and the exchange rate ▪ Strengthened government price-stabilization measures

Distribution of Market Forecasts

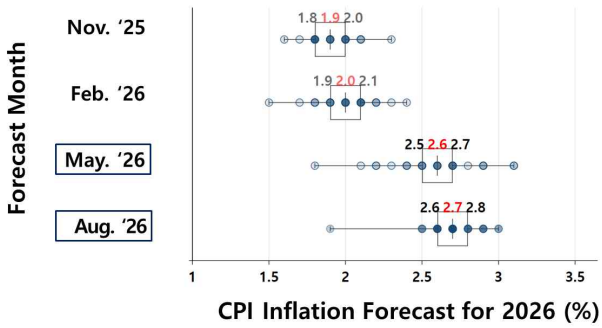
3-2. The median forecasts of major forecasting institutions for Korea's 2026 growth and inflation have been revised since the May survey. Among market participants including investment banks, the median **GDP growth** forecast for this year stands at **3.2%**, up 0.7 pp from the May survey (2.5%), while the median **CPI inflation** forecast rose 0.1 pp from 2.6% in May to **2.7%**.

Market forecasts for domestic GDP growth and inflation revised upward to 3.2% and 2.7%, respectively

[Figure 3.1] Distribution of Domestic GDP Growth Forecasts for 2026[1)]



[Figure 3.2] Distribution of Inflation Forecasts for 2026[1)]



Note: 1) Based on 35-45 institutions
Source: Bloomberg (retrieved on August 10)



Scenario Analysis

3-3. Significant uncertainty surrounds the Semiconductor cylce and the Middle East situation over the forecast horizon. Accordingly, we have analyzed alternative scenarios for these factors to assess their impact on growth and prices.

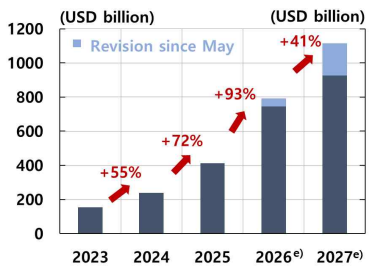
Semiconductor Scenarios **Accelerating export growth in 2026 (optimistic) vs. Decelerating export growth in 2026 (pessimistic)**

3-4. While the semiconductor market remains strong, it is expected to be subject to high volatility depending on the pace of AI investment by big tech. With global AI infrastructure investment continuing to expand, semiconductor exports are expected to sustain solid growth. However, as production capacity gradually increases, semiconductor export volume growth is expected to moderate gradually. Accordingly, the **baseline scenario** assumes that semiconductor export volumes are expected to grow in the high-teens percent range in 2026 to the low-to-mid-teens in 2027.

◈ **The optimistic scenario** Semiconductor demand proves stronger than expected on the back of the proliferation of agentic AI and diversifying AI business models, while domestic suppliers' production also increases rapidly through new capacity additions and yield improvements. In this case, semiconductor export volume growth would remain around 20% in 2026 and in the mid-to-high-teens in 2027. Relative to the baseline, **GDP growth** would be **0.2 pp higher in 2026** and **0.6 pp higher in 2027,** while the impact on **CPI inflation** would be **limited in 2026** but **0.2 pp higher in 2027.**

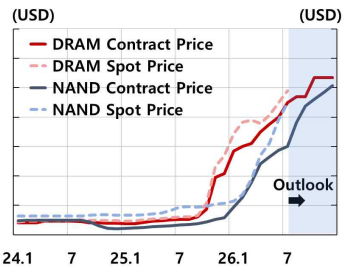
◈ **The pessimistic scenario** Major Big Tech firms substantially scale back the pace of AI investment as monetization is delayed and borrowing costs rise, though long-term supply agreements partially cushion the impact of weaker demand. In this case, semiconductor export volume growth would slow to the mid-teens in 2026 and around 10% in 2027. Relative to the baseline, **GDP growth** would be **0.1 pp lower in 2026** and **0.4 pp lower in 2027,** while the impact on **CPI inflation** would be **limited in 2026** but **0.1 pp lower in 2027.**

[Figure 3.3] Major Big Tech Firms CAPEX[1)]



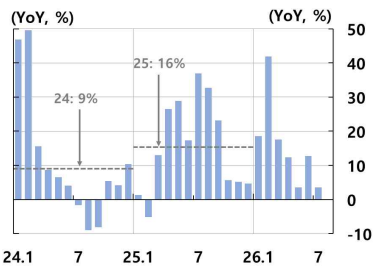
Note: 1) Sum of 5 firms (Amazon, Google, Microsoft, Meta, and Oracle)
Source: Bloomberg

[Figure 3.4] Memory Prices[1)]



Note: 1) DRAM: DDR5 16Gb, NAND: 128Gb MLC
Sources: DRAMeXchange, TrendForce

[Figure 3.5] Semiconductor Export Volume Index



Source: Bank of Korea

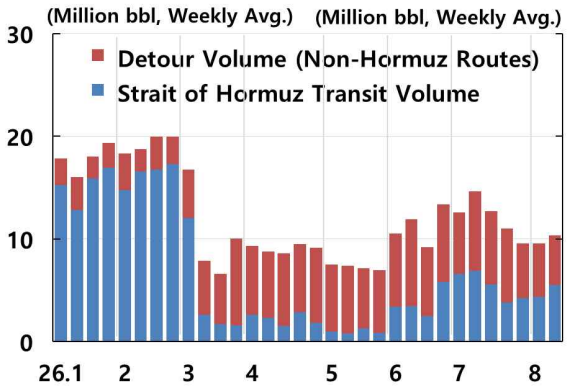
The Middle East Situation Early de-escalation(Optimistic) vs. Prolonged stalemate(Pessimistic)

3-5. Military tensions in the Middle East have escalated since July, heightening uncertainty over future developments. Uncertainty surrounding US-Iran negotiations is assumed to remain, but Strait of Hormuz transit is assumed to partially resume in the second half, together with continued crude supply via alternative routes and non-Middle East countries, easing supply-chain disruptions. Accordingly, Brent crude is expected to decline gradually to USD $84 by 2H 2026 (2026 average: USD 86) and to around USD 74 in 2027.

◈ **The early stabilization scenario** assumes that U.S.–Iran negotiations advance in Q3, easing military tensions and enabling a rapid recovery in Strait of Hormuz transit. Under this assumption, oil prices decline to USD 76 by 2H 2026 (2026 average: USD 82) and to around USD 63 in 2027. Relative to the baseline, **GDP growth** would be **0.1 pp higher in 2026** and **0.2 pp higher in 2027,** while **CPI inflation** would be **0.1 pp lower in 2026** and **0.3 pp lower in 2027.**

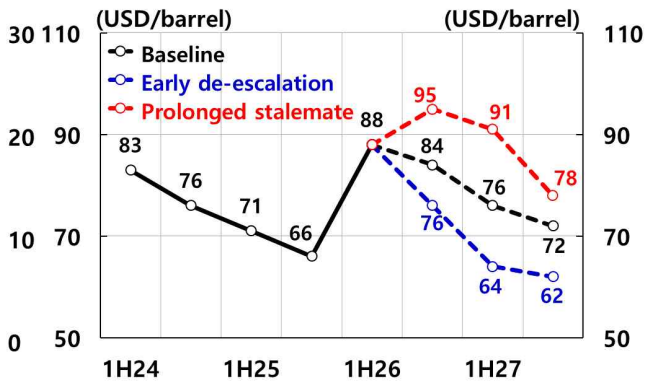
◈ **The prolonged stalemate scenario** assumes that U.S.–Iran negotiations remain deadlocked before gradually advancing in 2027, while regional military tensions escalate in 2026. In this case, the recovery in Strait of Hormuz transit is delayed within the year and supply via alternative routes is also partially disrupted, pushing oil prices up to around USD 95 by 2H 2026 (2026 average: USD 91) before easing to around USD 85 next year as negotiations progress. Relative to the baseline, **GDP growth** would be **0.1 pp lower in 2026** and **0.3 pp lower in 2027**, while **CPI inflation** would be **0.1 pp higher in 2026 and 0.4 pp higher in 2027.**

[Figure 3.6] Crude volumes passing through and bypassing the Strait of Hormuz[1)]



Note: 1) Based on Middle Eastern countries
Source: Kpler

[Figure 3.7] Brent Crude Oil Prices Assumptions



Source: Bloomberg

[Table 3.1] Key Assumptions by Middle East Scenario

	Baseline		Early de-escalation		Prolonged stalemate	
	2026e)	2027e)	2026e)	2027e)	2026e)	2027e)
▶ Brent Crude	$86	$74	$82	$63	$91	$85
▶ Global Growth[1)]	3.0%	3.2%	0.1%p ↑	0.2%p ↑	0.1%p ↓	0.2%p ↓

Note: 1) Figures for the early de-escalation (optimistic) and prolonged stalemate (pessimistic) scenarios denote deviations from the baseline

[Table 3.2] GDP Growth and Inflation Outlook by Scenario[1)]

GDP Growth

(%, %p)	2025	2026e)	2027e)
Baseline	1.1	3.3	2.9
Semiconductor cyle (Optimistic)		+0.2	+0.6
Semiconductor cyle (Pessimistic)		-0.1	-0.4
Middle East (Early de-escalation)		+0.1	+0.2
Middle East (Prolonged stalemate)		-0.1	-0.3

CPI Inflation

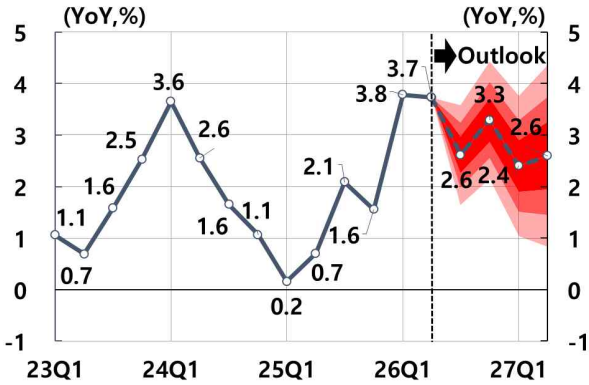
(%, %p)	2025	2026e)	2027e)
Baseline	2.1	2.7	2.3
Semiconductor cyle (Optimistic)		+0.0	+0.2
Semiconductor cyle (Pessimistic)		-0.0	-0.1
Middle East (Early de-escalation)		-0.1	-0.3
Middle East (Prolonged stalemate)		+0.1	+0.4

Note: 1) If the two shocks occur simultaneously, spillover effects – transmitted through financial conditions, consumer sentiment, and corporate investment – could be larger than the simple sum of the individual shocks

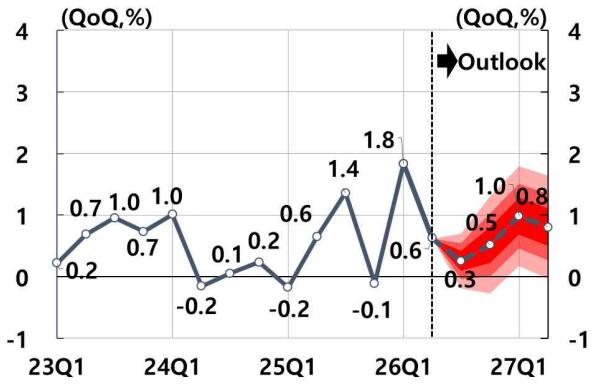
BOX Quarterly Forecasts for the One-Year-Ahead Horizon

GDP Growth

Outlook for GDP Growth[1](YoY)



Outlook for GDP Growth[1](QoQ)



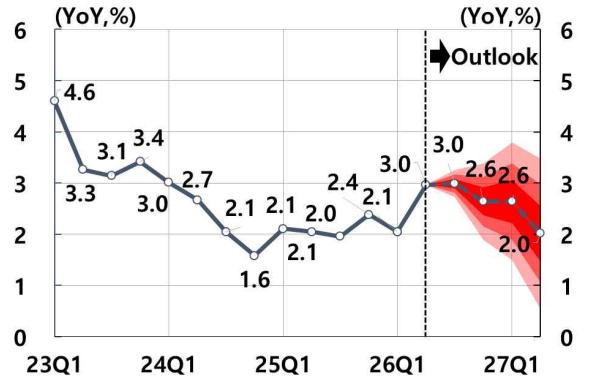
Note: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%, respectively
Sources: Research Department, Office of Economic Modeling & Policy Analysis

(YoY, %)	2025			2026				2027e)	
	Q2	Q3	Q4	Q1	Q2	Q3e)	Q4e)	Q1	Q2
GDP Growth	**0.7**	**2.1**	**1.6**	**3.8**	**3.7**	**2.6**	**3.3**	**2.4**	**2.6**
(QoQ)	0.6	1.4	-0.1	1.8	0.6	0.3	0.5	1.0	0.8

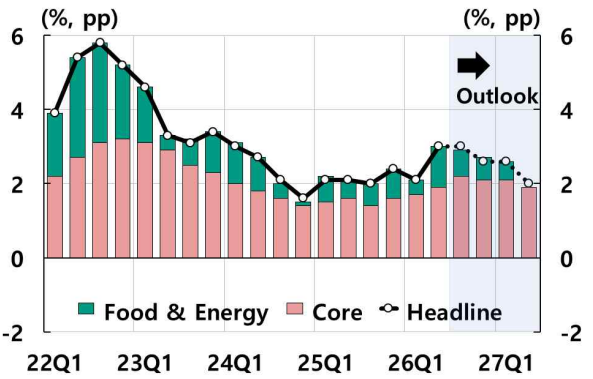
Source: Research Department

CPI Inflation

Outlook for Headline CPI Inflation[1]



Contribution to Headline CPI Inflation



Note: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%, respectively
Sources: Research Department, Office of Economic Modeling & Policy Analysis

(YoY, %)	2025			2026				2027e)	
	Q2	Q3	Q4	Q1	Q2	Q3e)	Q4e)	Q1	Q2
Headline CPI Inflation	**2.1**	**2.0**	**2.4**	**2.1**	**3.0**	**3.0**	**2.6**	**2.6**	**2.0**
• Core Inflation[1]	2.0	1.7	2.0	2.2	2.4	2.9	2.7	2.7	2.5

Note: 1) Excluding food and energy
Sources: Ministry of Data and Statistics, Research Department

Key Issues

The Effects of Demand-Driven Inflationary Pressures on Core Inflation

Inflation Forecasting & Analysis Team, Research Department

Won Suk Chung, Taeyun Jang[1], Sanghyo Kim[2]

Ⅰ. Introduction

1. Looking ahead, demand-side pressures on inflation could build gradually as the effects of robust semiconductor exports spill over to domestic demand. Supply-side pressures such as the high oil prices that drove inflation in the first half of the year are expected to ease gradually. By contrast, demand-side pressures are likely to build as the economic recovery continues on the back of strong semiconductor exports. In particular, the recent improvement in the terms of trade associated with the semiconductor upcycle has pushed growth in real gross domestic income (GDI) well above GDP growth, increasing the likelihood that stronger real purchasing power among households and firms will add to demand-side pressures.

2. Against this backdrop, this study (i) examines the characteristics of periods in which demand-side pressures were high and core inflation also rose strongly (hereafter 'demand-driven high-core-inflation episodes'), and (ii) assesses quantitatively the effect of stronger demand-side pressures on core inflation. Core inflation is better suited than headline inflation for assessing demand-side pressures, as it is less affected by supply-side shocks and temporary factors. The study first reviews demand conditions and inflation dynamics during past demand-driven high-core-inflation episodes and draws implications for current inflation conditions in Korea. It then examines how changes in demand-side pressures affect core inflation, using econometric techniques such as an asymmetric Phillips curve and local projection models.

Ⅱ. Stylized facts of demand-driven high-core-inflation episodes

3. This study uses the GDP gap as an indicator of demand-side pressures.[3] The GDP gap measures the extent to which demand in an economy (actual GDP) exceeds or falls short of its supply capacity (potential GDP). A larger positive value is therefore interpreted as indicating stronger demand-side pressures in the economy. The GDP gap is widely used in academia and by major central banks as a measure of demand-side pressures.[4] In this study, potential GDP is estimated by applying an HP filter to real GDP, and the GDP gap is then calculated. Periods in which the GDP gap is positive are classified as 'high-demand-pressure regimes', while those in which it is

1) Currently assigned to Office of Compliance & Ethics(Social Contribution Team).
2) San Kang of Inflation Forecasting & Analysis Team assisted in preparing this report.
3) The GDP gap used here may differ from the Bank of Korea's official GDP gap. The figures in this report are the authors' estimates based on an HP filter.
4) In New Keynesian theory (Galí and Gertler, 1999; Woodford, 2003), a widening GDP gap raises the marginal cost of factor inputs, which leads firms to increase prices and thereby raises inflation.

negative are classified as 'low-demand-pressure regimes'.[5)]

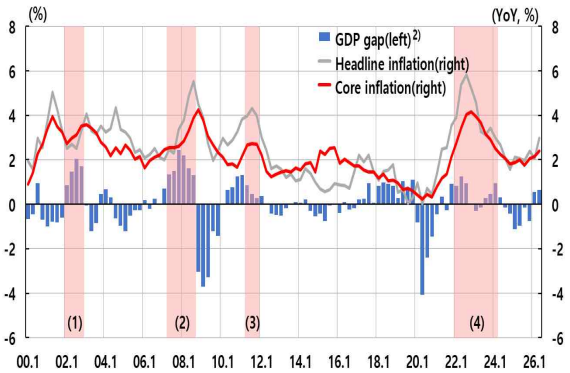
4. Since 2000, there have been four demand-driven high-core-inflation episodes (Figure 1). This study defines a 'demand-driven high-core-inflation episode' (Table 1) as a period in which the GDP gap remains positive (stronger demand-side pressures; a high-demand-pressure regime) and core inflation stays above 2.5% for at least two consecutive quarters (a sustained high rate of core inflation; a high-core-inflation regime). On this definition, the four episodes since 2000 are: (1) the period before the credit-card crisis (Q1 – Q4 2002); (2) the period immediately before the Global Financial Crisis (Q2 2007 – Q3 2008); (3) the recovery from the Global Financial Crisis (Q2 – Q4 2011); and (4) the recovery from the pandemic shock (Q1 2022 – Q1 2024). Although the fourth episode was also affected by supply-chain disruptions and surging energy prices, it can be classified as a demand-driven high-core-inflation episode given the strong pent-up demand that emerged after the pandemic.

Since 2000, there have been four demand-driven high-core-inflation episodes

Table 1. Classification of inflation regimes

	Low-demand-pressure regime (GDP gap<0)	High-demand-pressure regime (GDP gap>0)
High-core-inflation regime (core inflation stays above 2.5% for at least two consecutive quarters)	—	**Demand-driven high-core-inflation episode**
Low-core-inflation regime (the remaining periods)	—	—

Figure 1. Demand-driven high-core-inflation episodes[1)]



Notes: 1) Red shading denotes demand-driven high-core-inflation episodes. For episode 4, some intervals with a negative GDP gap are also included because the nature of the increase in inflation was similar.
2) The GDP gap is estimated using an HP filter.
Sources: Bank of Korea, Ministry of Data and Statistics, authors' own estimation.

5. Demand-driven high-core-inflation episodes share the following four features.

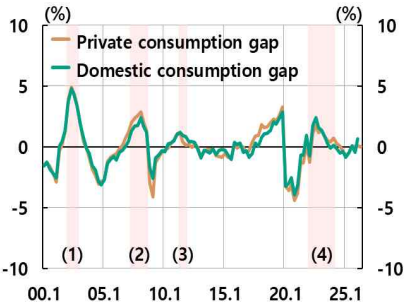
6. (Feature 1) Consumption was robust as households' spending capacity strengthened. During all four episodes, major consumption indicators such as private consumption and domestic consumption held up well (Figure 2). This is assessed to have been driven mainly by an improvement in households' spending capacity as wages and asset prices rose sharply ahead of the increase in core inflation (Figure 3). As a result, growth in real purchasing power above its long-term average (Figure 4) appears to have fed through, with a lag, to stronger consumption

5) For some of the empirical models that emphasize dynamic analysis, including local projections, a high-demand-pressure regime is defined as a period in which the four-quarter moving average of the GDP gap is positive, in order to mitigate frequent regime switching and measurement-error problems.

and thereby added to upward pressure on core inflation. In the pandemic-recovery episode (4), large excess savings accumulated during social distancing and other restrictions were subsequently released as pent-up demand, providing additional support to consumption.

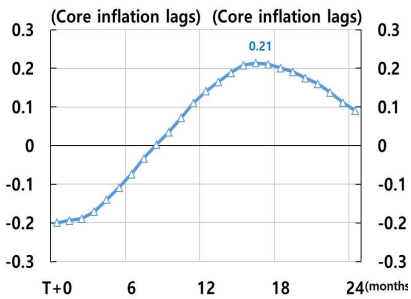
In demand-driven high-core-inflation episodes, consumption improves after wages and asset prices rise

Figure 2. GDP consumption gaps[1)]



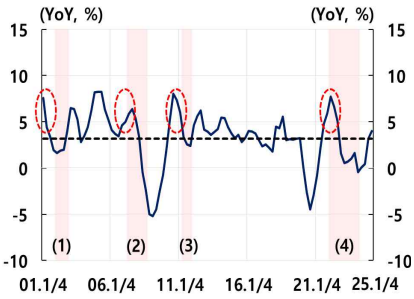
Note: 1) Trends are estimated using an HP filter.
Sources: Bank of Korea, authors' own estimation.

Figure 3. Lagged correlation coefficient between stock prices and core inflation[1)]



Note: 1) Correlation coefficient between year-on-year growth rates; core inflation lags.
Source: authors' own estimation.

Figure 4. Real purchasing power per capita[1)]



Note: 1) Nominal purchasing power per capita (= total wages × number of employed persons ÷ total population), deflated by the CPI. The dotted line indicates the long-term average growth rate (2001–2025).
Sources: authors' own estimation, Ministry of Employment and Labor, Ministry of the Interior and Safety.

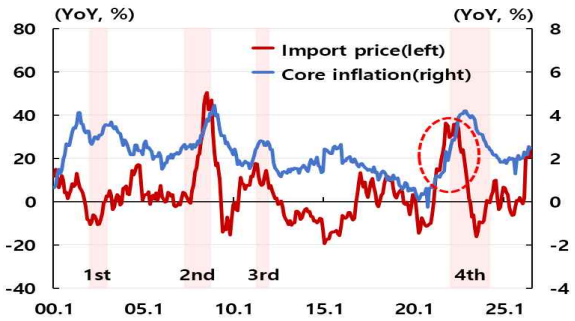
7. (Feature 2) As demand-side pressures strengthened, cost increases were passed through to prices more readily. In the pandemic-recovery episode (4), when the supply shock[6)] preceded the demand-side pressures, the rapid recovery in demand created conditions in which previously accumulated cost pressures could more readily be reflected in prices, and core inflation consequently increased by more (Figure 5). Firms tend to defer price increases when economic activity is weak, but when demand-side pressures strengthen, they raise the pass-through of higher costs to recover margins forgone earlier. Estimates from an error-correction model[7)] likewise indicate that cost pressures not passed through in low-demand-pressure regimes are subsequently passed through in high-demand-pressure regimes (Figure 6).

6) Following the pandemic, border closures and other disruptions created bottlenecks in global supply chains, leading to a sharp rise in import prices.

7) Unpassed cost pressures (the residual) are estimated from a long-run relationship between final-goods prices and cost variables (prices of domestically produced and imported intermediate goods, and unit labor costs) following Ahn et al. (2017). A short-run equation is then used to estimate differences across demand-pressure regimes in the pass-through of unpassed cost pressures to final-goods prices. See Box 1 for details.

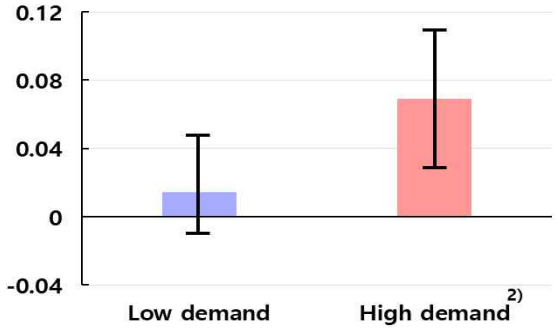
Pass-through of cost-increase shocks tends to rise in high-demand-pressure regimes

Figure 5. Import prices[1] and core inflation



Note: 1) In Korean won terms.
Sources: Bank of Korea, Ministry of Data and Statistics.

Figure 6. Pass-through rate of unpassed cost pressures, by demand-pressure regime[1]



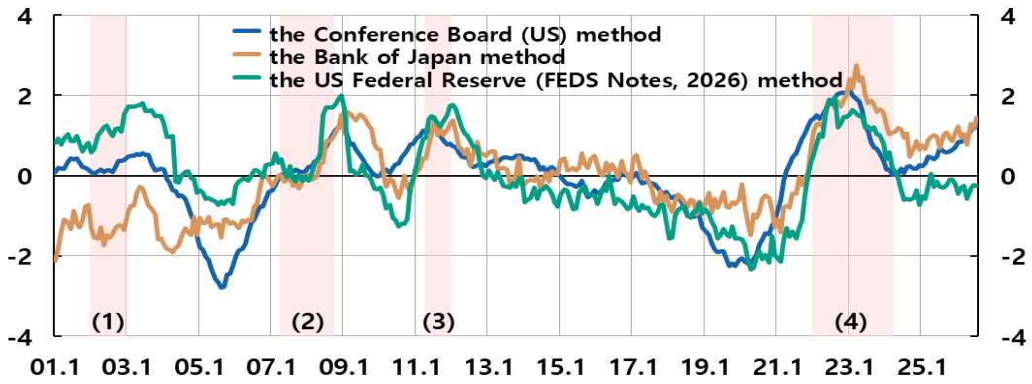
Notes: 1) Short-run coefficient of unpassed cost pressures on core inflation. Vertical bars indicate 90% confidence intervals.
2) Sum of the pass-through coefficients for the low-demand-pressure and high-demand-pressure regimes.
Source: authors' own estimation.

8. (Feature 3) Supported by stronger demand-side pressures, price increases tended to spread across a broader range of items. In high-demand-pressure regimes, firms are generally able to raise prices more readily. Inflation therefore tends to broaden across a wider range of items rather than remaining confined to a limited set. Indeed, various measures[8] of inflation diffusion for Korea were generally at high levels during past demand-driven high-core-inflation episodes (Figure 7).

8) See Box 2 for detailed descriptions of the different methods used to measure inflation diffusion.

Inflation diffusion indices tend to rise in demand-driven high-core-inflation episodes

Figure 7. Trends in various core inflation diffusion indices[1)]



Note: 1) The indices are standardized for comparability.
Source: authors' own estimation.

9. This is because, when the economy is in a high-core-inflation regime — that is, when core inflation is above the mid-2% range — the prices of individual items co-move more closely. An analysis of the similarity[9)] of price movements across individual components using historical Korean core inflation data shows that similarity first increased when core inflation was in the low-to-mid 1% range, and then strengthened sharply again at around 2.5% (Figure 8).[10)] This pattern was especially pronounced among personal services. When core inflation rose above around 2.5%, similarity across personal-service items increased steeply (Figure 9). Notably, it is relatively difficult to find the observations in the red-shaded areas of Figures 8 and 9. This suggests that when core inflation exceeds 2.5%, hardly any core inflation components move independently of the others. This non-linear relationship is also confirmed by statistical tests of the threshold. Estimates of changes in the similarity index described above, using core inflation as the threshold variable, show a statistically significant increase in similarity across items when core inflation moves above the mid-to-upper 2% range.[11)] This implies that when core inflation exceeds a certain level, the tendency for price increases to broaden beyond individual items may become stronger.

9) The reference inflation rate used to construct the similarity index is the median of inflation rates across core inflation items, rather than official core inflation. BIS (2022) uses the same method. In addition, because revisions to base years and changes in item classification constrain the time-series continuity of official core inflation, a weighted average of component inflation rates is used on the horizontal axis of the scatter plots (Figures 8 and 9). The correlation between official core inflation and this weighted average is high, at 0.84. The overall patterns remain similar when the horizontal axes are instead set to official core inflation and personal-services inflation, respectively, indicating that the findings are robust. See Box 3 for details on the similarity index.

10) The stronger similarity across items observed during high-core-inflation episodes can arise not only from demand-side pressures but also during periods when inflation is elevated by supply-side pressures.

11) In the regression $y_t = \alpha + \beta_1 x_t + \beta_2 \max(x_t - \gamma, 0) + \epsilon_t$, where y_t is the similarity index, x_t is core inflation and γ is the threshold, β_2 is statistically significant at the 1% level when the threshold is set at 2.5%. When the threshold is estimated without being imposed ex ante, using the grid-search method of Hansen (2000), the F-statistic is highest at 2.8%. The threshold is therefore estimated to lie broadly in the 2.5–2.8% range.

When core inflation rises above around 2.5%, similarity across price items increases sharply

Figure 8. Similarity between core inflation and its constituent items[1)2)]

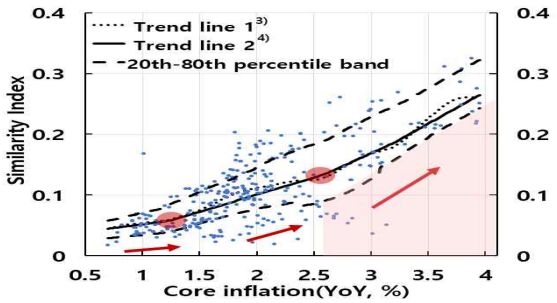
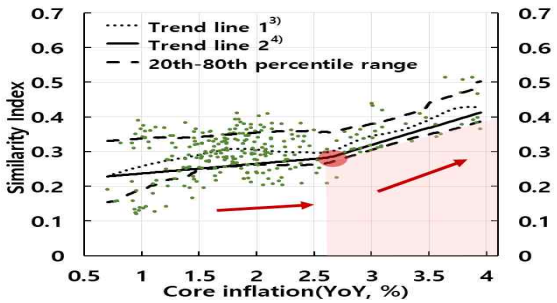


Figure 9. Similarity between core inflation and personal services items[1)2)]



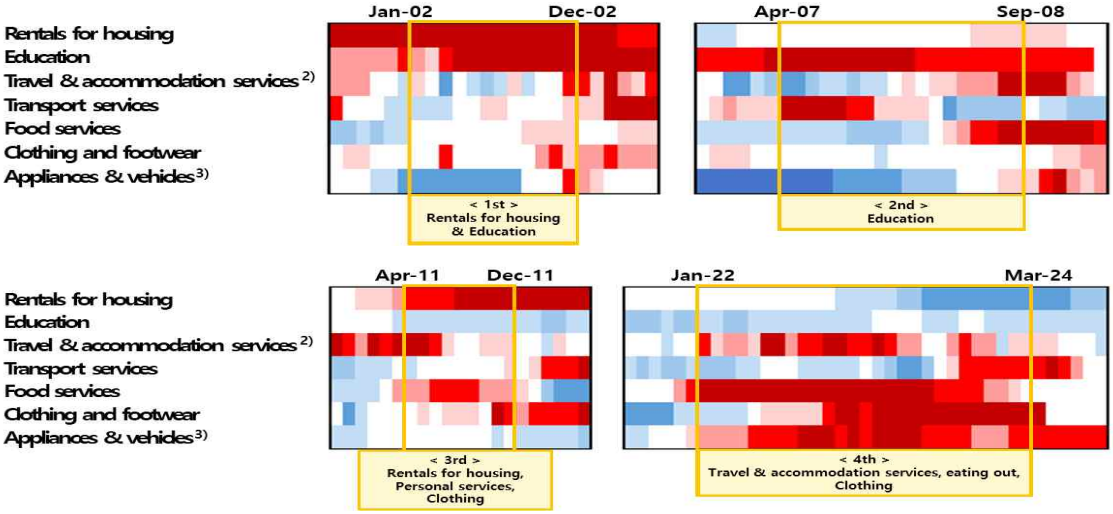
Notes: 1) Standardized based on residuals from kernel regression; values of 1.8 or higher (around 10 observations) are identified as outliers and excluded.
2) Red circles indicate points at which the slope of Trend line 1 changes.
3) 'Trend line 1' is estimated using kernel regression.
4) 'Trend line 2' adds a convexity constraint to Trend line 1.
Source: authors' own estimation.

10. (Feature 4) Among the items driving core inflation, the share of personal services — which are sensitive to cyclical conditions — increased markedly from the pandemic-recovery episode (4) onwards, in contrast to earlier episodes. Before the Global Financial Crisis, core inflation was led mainly by items such as rents and education services that are relatively strongly affected by government policies or institutional factors. Subsequently, the contribution from personal services such as travel, accommodation and food services increased (Figure 10). More specifically, in the pre-credit-card-crisis episode (1), education costs and rents rose sharply amid rapid growth in the private education market, higher university tuition[12)] and a housing-market boom. In the pre-Global-Financial-Crisis episode (2), improved income conditions associated with the economic expansion led to increased education spending, particularly on private education, and education services made a large contribution to core inflation. During the recovery from the Global Financial Crisis (3), rising jeonse prices were the main driver of core inflation, while the contribution of some personal services, including food services, also increased. By contrast, in the pandemic-recovery episode (4), the recovery in consumption after the pandemic shock was more broad-based. Initially, pent-up consumption was concentrated in some durable goods, including electronic devices, causing the prices of those items to rise sharply. Later, as social distancing restrictions were lifted, demand for personal services such as travel, accommodation and food services also increased rapidly. As a result, the rise in core inflation broadened from goods to services.

12) Private education spending increased by 22.8%, from KRW 11 trillion in 2001 to KRW 13.6 trillion in 2003 (Korean Educational Development Institute). University tuition rose 7% in 2002, far above its long-term average of 2.4% over 2001–2025.

Since the pandemic, personal services such as travel, accommodation and food services have driven core inflation

Figure 10. Heatmap of core inflation by expenditure category[1)]



Notes: 1) Standardized using the mean and standard deviation over Jan 2001–Jul 2026. Darker red indicates a higher inflation rate, while darker blue indicates a lower inflation rate.
2) Accommodation services and Package holidays.
3) Household appliances, Purchase of vehicles, Telephone and telefax equipment, and Audio-visual, photographic and information processing equipment.
Sources: Ministry of Data and Statistics, authors' own estimation.

11. Taken together, demand-driven high-core-inflation episodes were characterized by robust consumption on the back of stronger household spending capacity, greater pass-through of cost increases to prices, and a broadening of price increases across items. More recently, core inflation has been driven mainly by personal services such as travel, accommodation and food services – items that are sensitive to cyclical conditions and whose prices tend to co-move closely – raising the possibility that price increases will spread more broadly than in the past.

Ⅲ. Effects of demand-driven inflationary pressures on core inflation

Ⅲ-1 Estimation methodology

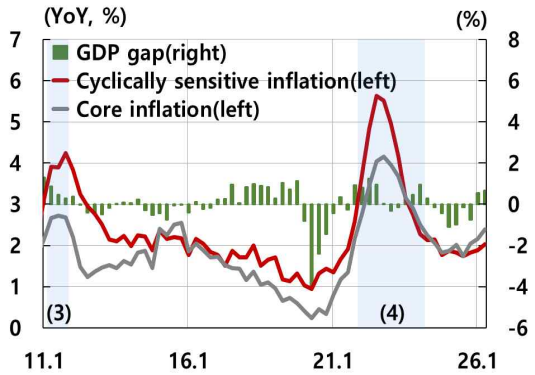
12. The effects of demand-driven inflationary pressures on core inflation are estimated using a Phillips curve, which relates the GDP gap to inflation. However, because the composition of items driving core inflation can change from period to period, relating overall core inflation to the GDP gap alone is not sufficient to identify the effect of demand-side pressures. This study therefore constructs a measure of 'cyclically sensitive inflation'[13)], made up of items whose prices respond sensitively to cyclical conditions, and uses it to examine the relationship between demand-side pressures and inflation more clearly.[14)]

13) See Box 4 for the methodology used to estimate cyclically sensitive inflation.
14) As a robustness check, the relationship between the GDP gap and core inflation is also estimated directly.

13. Cyclically sensitive inflation is composed of items whose prices reflect changes in cyclical conditions more clearly, and can therefore capture more directly the effect of demand-side pressures on inflation. The measure is constructed with reference to the methodologies of Fröhling and Lommatzsch (2011) and Ehrmann et al. (2018). Specifically, among the components of core inflation excluding administered items, an item is classified as cyclically sensitive if adding cyclical variables to the model significantly improves forecasting performance for that item (Table 2). The price indices of the selected items are then aggregated using their CPI weights to construct the cyclically sensitive inflation index. This approach has the advantage of reducing the influence of changes over time in the composition of items driving core inflation, while isolating price movements that are sensitive to cyclical demand pressures. In fact, cyclically sensitive inflation is more closely related to the GDP gap than core inflation is (Figure 11): its correlation with the GDP gap is higher than that of core inflation, and the positive relationship is stronger in high-demand-pressure regimes than over the full sample (Figure 12).

The correlation of cyclically sensitive inflation with the GDP gap is higher than that of core inflation

Figure 11. Cyclically sensitive inflation and core inflation[1)2)]



Notes: 1) Shading denotes demand-driven high-core-inflation episodes.
2) The GDP gap is estimated using an HP filter.
Sources: Bank of Korea, Ministry of Data and Statistics, authors' own estimation.

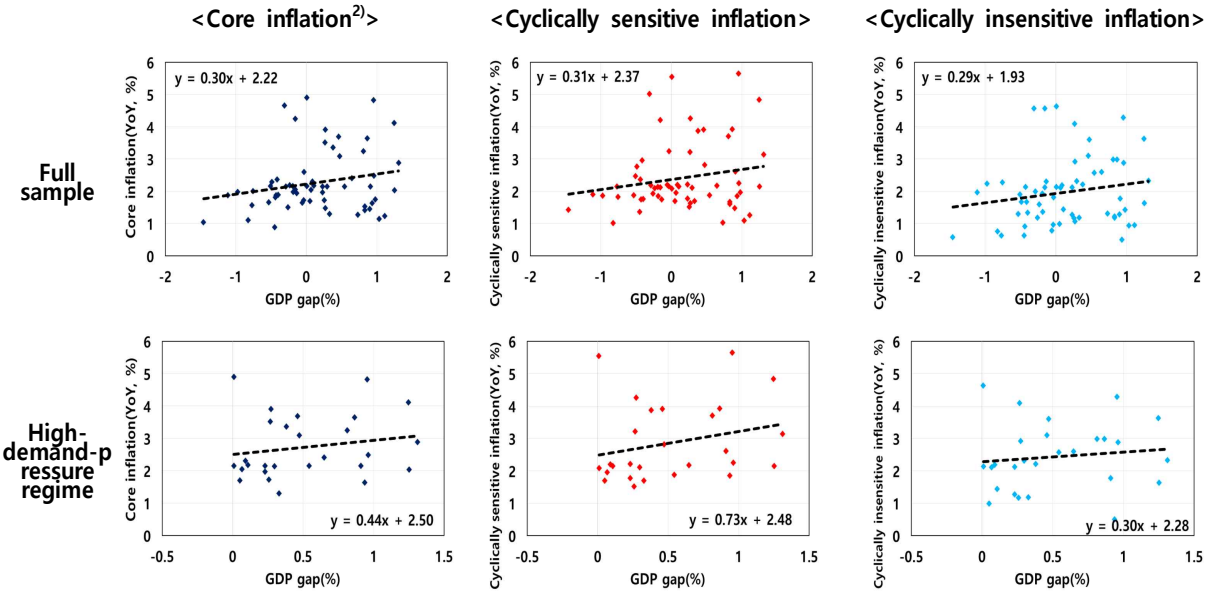
Table 2. Major cyclically sensitive items[1)2)]

Eating out	Excluding eating out	Durable goods	Textile products	Other industrial products
9 items, [50.3]	34 items, [95.6]	18 Items, [25.5]	5 items, [9.8]	28 items, [29.0]
Cafeteria meals	Apartment maintenance fees	Mobile phone	T-shirts	Home maintenance and repair materials
Sashimi	Tuition	Bed	Bedding	Pet products
Coffee	Sports classes	Kitchen sink	Dresses	Bag
Beef	Car rental	Boiler		Laundry detergent
	Hotel lodging	Closet		Leisure goods

Notes: 1) Items classified as cyclically sensitive for more than 10 years.
2) [ ] denotes the weight (in per mille).
Sources: Bank of Korea, Ministry of Data and Statistics, authors' own estimation.

In high-demand-pressure regimes, the correlation between cyclically sensitive inflation and the GDP gap is higher than over the full sample

Figure 12. GDP gap[1] and inflation



Notes: 1) The GDP gap is estimated using an HP filter.
2) Core inflation excluding administered items.
Source: authors' own estimation.

14. Based on these findings, the effect of demand-side pressures on core inflation is quantified in two ways. First, a Phillips curve with cyclically sensitive inflation as the dependent variable is estimated to measure the effect of changes in the GDP gap on inflation among cyclically sensitive items. The effect of demand-side pressures on core inflation is then assessed indirectly, taking into account the share of cyclically sensitive items in core inflation and their contribution to inflation. Second, a local projection method is used to estimate the dynamic effect of demand shocks on core inflation. In the local projection analysis, core inflation is used directly as the dependent variable, rather than being approached indirectly through cyclically sensitive inflation, so that the direct effect of demand shocks on core inflation can be estimated.

Ⅲ-2 Effects of demand-side inflationary pressures on core inflation

15. Estimates from an asymmetric Phillips curve using cyclically sensitive inflation show that the inflation response is considerably larger when demand-side pressures are high. In high-demand-pressure regimes, a 1 percentage point widening of the GDP gap raises cyclically sensitive inflation by 0.42 percentage points, compared with only 0.11 percentage points over the full sample (Figure 13).[15] Given that cyclically sensitive items account for around 60–90% of core inflation, a 1 percentage point widening of the GDP gap is estimated to raise core inflation by around 0.2–0.4 percentage points. By contrast, in low-demand-pressure regimes, the response of cyclically sensitive inflation to a wider GDP gap is not statistically significant. The same analysis

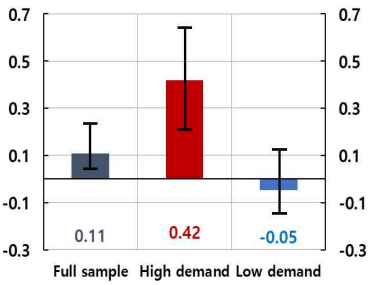
15) See Box 5 for the estimation methodology for the asymmetric Phillips curve.

using core inflation also confirms an asymmetric inflation response to demand-side pressures,[16] although the estimated magnitude, at 0.14 percentage points, is somewhat smaller than for cyclically sensitive inflation (Figure 14). This is because core inflation includes not only cyclically sensitive items, for which the impact of demand-side pressures is large, but also items that respond less to cyclical conditions, which attenuates the average inflation response to demand-side pressures. Taken together, the indirect estimate based on cyclically sensitive inflation is around 0.2–0.4 percentage points, while the direct estimate is around 0.1 percentage point. Thus, a 1 percentage point widening of the GDP gap could raise core inflation by around 0.1–0.4 percentage points.

16. Analysis of the dynamic response of core inflation likewise shows that the inflation response is larger and more persistent in high-demand-pressure regimes. A state-dependent local projection model[17] is used to estimate the dynamic response of core inflation to a demand shock. The results show that, for the same demand shock, the increase in core inflation is larger and its effect lasts longer in a high-demand-pressure regime than in a low-demand-pressure regime. Following a one-unit (one-standard-deviation) demand shock,[18] the increase in core inflation gradually builds in the high-demand-pressure regime, reaching around 0.6 percentage points after six quarters. In the low-demand-pressure regime, by contrast, core inflation increases by only around 0.2 percentage points after three quarters (Figure 15).

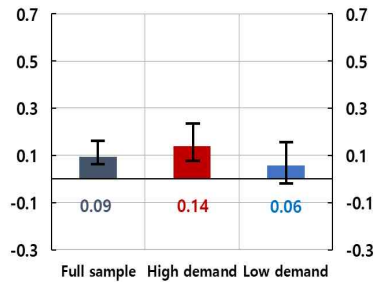
The effects of demand-side pressures on cyclically sensitive inflation and core inflation are asymmetric

Figure 13. Effects of demand-side pressures on cyclically sensitive inflation[1]



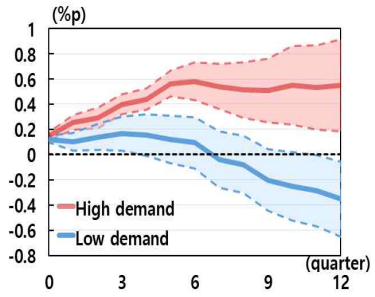
Note: 1) Vertical bars indicate 90% confidence intervals.
Source: authors' own estimation.

Figure 14. Effects of demand-side pressures on core inflation[1]



Note: 1) Vertical bars indicate 90% confidence intervals.
Source: authors' own estimation.

Figure 15. Cumulative effect of a demand shock[1] on core inflation[2]



Notes: 1) A one-unit demand shock identified using a sign-restricted BVAR.
2) Shaded areas indicate 68% confidence intervals.
Source: authors' own estimation.

16) In addition to core inflation, a range of indicators can be used to capture underlying inflation, including core inflation excluding administered items, sticky-price inflation excluding administered items, the weighted median, the Underlying Inflation Gauge (UIG), and the trimmed mean. Repeating the same analysis using the mean and median of these indicators yields the same asymmetry in the inflation response to demand-side pressures. The asymmetry is also present when the individual underlying-inflation indicators are used, indicating that the results are robust to the choice of indicator.

17) See Box 6 for the identification of demand shocks and the analysis of dynamic inflation responses.

18) In the model, the one-standard-deviation size of an estimated one-unit demand shock is about 1.0–1.1, corresponding to one unit of the normalized structural shock.

Ⅲ-3 Effects of an improvement in GDI on core inflation

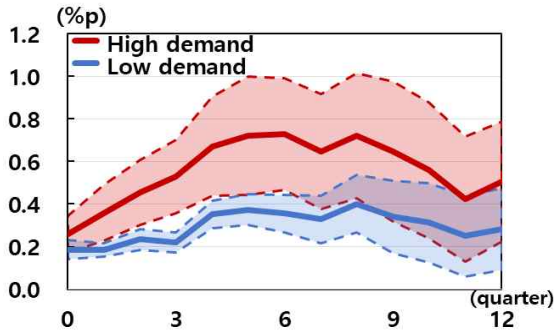
17. A GDI-based demand shock arising from an improvement in the terms of trade is found to exert greater upward pressure on core inflation than a GDP-based demand shock does. A state-dependent local projection model[19] that considers only the income channel — through which changes in the terms of trade affect demand by increasing real income and purchasing power[20] — indicates that, in a high-demand-pressure regime, a one-unit (one-standard-deviation) GDI-based demand shock raises core inflation by up to around 0.7 percentage points (Figure 16). This suggests that an improvement in the terms of trade can increase consumption not only through production activity but also through gains in real income (GDI) and purchasing power, thereby generating additional demand-side pressures that the GDP gap alone does not fully capture.

18. Decomposing the improvement in the terms of trade into higher export prices and lower import prices shows that the income gain from higher export prices tends to exert greater upward pressure on core inflation than the decline in import prices does. This difference holds over the full sample period and is statistically significant (Figure 17). The finding is consistent with Lee et al. (2026), who report that consumption increased significantly more when the improvement in the terms of trade was driven by higher export prices rather than by lower import prices. Taken together, a one-unit GDI shock stemming from an improvement in the terms of trade — operating mainly through higher demand — is estimated to add around 0.05–0.2 percentage points to core inflation.[21]

19) See Box 7 for the analysis of the dynamic inflation response to demand shocks related to GDI and the terms of trade.
20) In general, an improvement in the terms of trade can raise demand-side pressures through higher income and thereby put upward pressure on inflation, but it can also exert downward pressure through exchange-rate and cost channels. Its inflation effects therefore contain both upside and downside forces. In the current episode, however, the improvement in the terms of trade has been driven mainly by higher export prices. Given the high level of the exchange rate and the large increase in income, the income channel is likely to be particularly important (see Lee et al., 2026).
21) This assessment takes into account that, in high-demand-pressure regimes, the maximum effect of a GDI shock on core inflation (0.7 percentage points) is about 1.2 times that of a GDP shock (0.6 percentage points), and that the recent improvement in the terms of trade has been driven mainly by higher export prices.

GDI demand shocks have a larger effect on core inflation than GDP demand shocks, and export-price increase shocks have a larger effect than import-price decline shocks

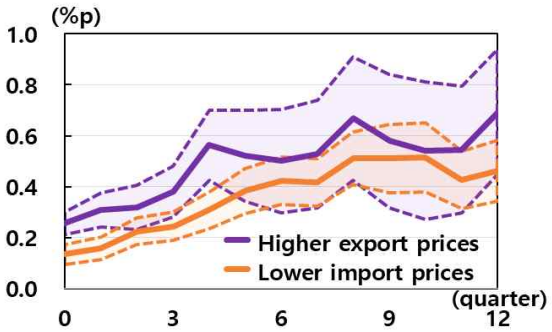
Figure 16. Cumulative effect of a GDI demand shock[1] on core inflation[2]



Notes: 1) A one-unit demand shock identified using a sign-restricted BVAR.
2) Shaded areas indicate 68% confidence intervals.

Source: authors' own estimation.

Figure 17. Cumulative effects of an export-price increase shock versus an import-price decline shock[1] on core inflation[2]



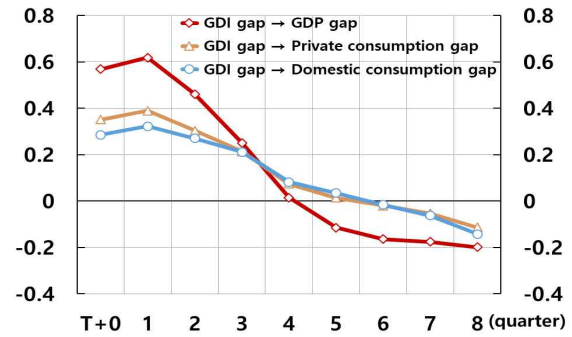
Notes: 1) A one-unit demand shock identified using a sign-restricted BVAR.
2) Shaded areas indicate 68% confidence intervals.

Source: authors' own estimation.

19. The extent to which a rise in GDI resulting from an improvement in the terms of trade translates into actual inflationary pressure ultimately depends on how much the additional income increases domestic consumption. If households and firms regard the income gain from the improvement in the terms of trade as temporary and instead increase saving and asset purchases, or increase spending on imports, the effects on domestic production and inflation may be limited. Because of these characteristics, GDI shows somewhat less contemporaneous co-movement with core inflation than GDP does, but tends to feed through to stronger consumption and investment with a lag (Figure 18). Indeed, in periods of large increases in GDI, excess savings including corporate retained earnings tend to increase contemporaneously, followed by higher consumption after a lag of one to two quarters (Figure 19).

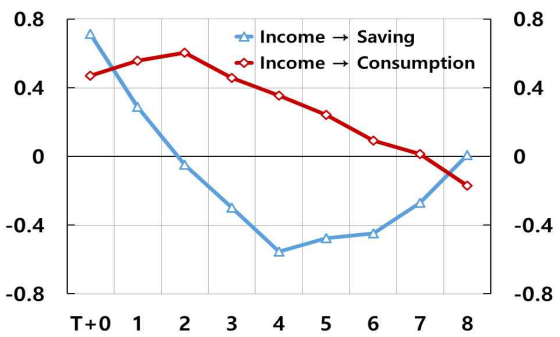
An improvement in GDI increases saving in the current period, which then raises consumption with a lag of one to two quarters, exerting upward pressure on inflation

Figure 18. Lagged correlations between the GDI gap and demand gaps



Source: authors' own estimation.

Figure 19. Lagged correlations of income[1] with saving and consumption



Note: 1) Based on nominal gross national disposable income (GNDI).

Source: authors' own estimation.

Ⅳ. Overall assessment

20. In light of the experience of past demand-driven high-core-inflation episodes and current conditions, Korea's core inflation could remain elevated in the mid-to-upper 2% range for a considerable period, as demand-side inflationary pressures gradually build. In past demand-driven high-core-inflation episodes, robust consumption on the back of stronger spending capacity was accompanied by easier pass-through of cost increases to prices, while price increases spread rapidly from a narrow set of items to a broader range. More recently, personal-service items such as travel, accommodation and food services have been driving core inflation, raising the likelihood that inflation will become both broader-based and more persistent.

21. In particular, at higher levels of core inflation, greater similarity in price increases across items could add to inflationary pressures further. Past episodes suggest that this relationship becomes more pronounced when core inflation is around or above 2.5%, with the similarity of price increases rising particularly sharply among personal services. With core inflation currently running in the mid-2% range, close attention should therefore be paid to the risk of price increases becoming more widespread across items, adding to overall upward pressure on core inflation.

22. The results above suggest that a 1 percentage point widening of the GDP gap could raise core inflation by around 0.1–0.4 percentage points. If higher GDI arising from an improvement in the terms of trade leads to stronger consumption, this could add a further 0.05–0.2 percentage points of upward pressure. The actual impact of higher GDI on inflation, however, will vary depending on how quickly and how extensively the additional income feeds through to domestic private consumption, rather than being retained as saving or channeled into asset purchases.

23. Accordingly, in assessing the inflation outlook, it will be important to monitor closely not only the economic recovery itself but also the speed and strength with which income gains stemming from robust exports and improved terms of trade feed through to domestic consumption. At the same time, care is needed to prevent higher core inflation generated by demand-side pressures from broadening across items and becoming entrenched.

BOX 1 Estimating cost pass-through by demand-pressure regime

☐ Assuming a long-run relationship between final-goods prices and production costs (domestically produced and imported intermediate goods, and unit labor costs), following Ahn *et al.* (2017), we estimate cost pressures not yet reflected in prices (hereafter, unpassed cost pressures) and compare their short-run pass-through rates across demand-pressure regimes.

► Long-run equation:

$$\ln PPI_t^{final} = \alpha + \beta_1 \ln intermediate_t^{IMP} + \beta_2 \ln intermediate_t^{DOM} + \beta_3 \ln ULC_t + e_t$$

$$CP_t = -\hat{e}_t$$

where CP_t denotes unpassed cost pressures; the final-goods price is the domestic supply price index for final goods (PPI_t^{final}); the domestic intermediate-goods price is the domestic supply price index for intermediate goods ($intermediate_t^{DOM}$); the imported intermediate-goods price is the import domestic supply price index for intermediate goods ($intermediate_t^{IMP}$); ULC_t is unit labor cost; and the estimation sample is Q1 2010–Q2 2026.

► Short-run equation:

$$\Delta \ln PPI_t^{final} = c + \rho \Delta \ln PPI_{t-1}^{final} + \lambda_L CP_{t-1} + \lambda_H (CP_{t-1} \times Gap_{t-1}^{+}) + \gamma' X_t + \epsilon_t$$

where $Gap_t^{+} = 1_{Gap>0}$ is a GDP-gap dummy; and X_t contains other controls (GDP gap at t-1, intermediate-price inflation at t, and unit-labor-cost inflation at t).

⇒ If the pass-through of unpassed cost pressures in a low-demand-pressure regime(λ_L) is significantly smaller than that in a high-demand-pressure regime($\lambda_L + \lambda_H$), the pass-through of cost pressures is assessed to be higher in the high-demand-pressure regime.

BOX 2 Measuring inflation diffusion indices

☐ This study constructs three inflation diffusion indices using methods employed by the U.S. Conference Board, the Bank of Japan and the U.S. Federal Reserve (FEDS Notes).

* The three indices are standardized to facilitate comparison.

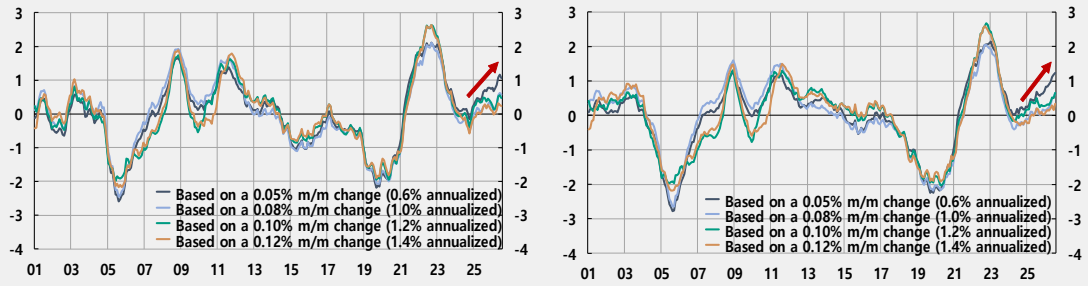
☐ **[Inflation diffusion index 1]** This is the measure the Bank of Korea uses to construct its inflation diffusion index, following the U.S. Conference Board approach. Because it captures broad-based upward price pressure, it is the most comprehensive of the three measures and can indirectly gauge the share of firms raising prices.

○ **(Measurement)** Each CPI item is assigned a score of 1 if its month-on-month inflation rate exceeds +0.05%, 0.5 if the rate lies between -0.05% and +0.05%, and 0 if it is below -0.05%. The scores are aggregated using CPI weights and then expressed as a 12-month moving average.

■ If all items are unchanged month-on-month (-0.05% to +0.05%), the index equals 50. A higher index indicates that price increases are spreading more broadly across CPI components.

The trend in the inflation diffusion indices is robust to changes in the neutral band

<Headline[1)]> <Core[1)]>



Note: 1) The indices are standardized for comparability.
Source: authors' own estimation.

☐ **[Inflation diffusion index 2]** This measure is used by the Bank of Japan. It focuses on the direction of price adjustment by showing the extent to which price increases outnumber price decreases.

○ **(Measurement)** The index is calculated as the share of items with positive year-on-year inflation minus the share of items with negative year-on-year inflation.

■ A value above zero indicates that upward price pressure dominates, while a value below zero indicates that downward price pressure dominates.

☐ **[Inflation diffusion index 3]** This measure follows the approach of de Soyres et al. (2026), and captures how widespread high rates of price increase are.

○ **(Measurement)** The CPI weights of items with year-on-year inflation above 3% are summed; for core inflation items, the threshold is 2.5%.

■ A higher index suggests stronger inflationary pressure across the CPI basket.

BOX 3 Measuring the similarity index across core inflation items

☐ The similarity index measures how similarly, or how closely together, year-on-year inflation rates of individual items move. BIS (2022) finds that the similarity index rises as inflation increases, and tends to increase more sharply when inflation exceeds a particular level (a threshold).

☐ The similarity index is calculated as follows:

► $\gamma_t = -\dfrac{\sum_i |g_{i,t} - g_{r,t}|}{\sum_i |g_{i,t}|}$, $\quad similarity\ index = \gamma_t + 1$

where $g_{i,t}$ is the year-on-year inflation rate of item i at time t, and $g_{r,t}$ is the median inflation rate across items at time t.

○ Under this formula, the similarity index is higher when inflation rates of individual items move in a direction and by a magnitude closer to the median.*

* (Example) If there are only three items and each rises by 2%, the median is 2% and the similarity index is 1. In this case the three items co-move fully, rising by the same amount.

If the three items rise by 5%, 2%, and -1%, respectively, the median is still 2%, as in the first example, but the similarity index is 0.25, indicating substantially weaker similarity across individual items.

BOX 4 Estimating cyclically sensitive inflation

☐ Based on Fröhling and Lommatzsch (2011), Ehrmann *et al.* (2018) and related studies, cyclically sensitive items are identified as those components of core inflation, excluding administered items, whose forecast accuracy improves when cyclical variables are included; the price indices of these items are then aggregated using CPI weights.

(Step 1) For each item, estimate a benchmark Phillips curve (excluding cyclical variables) and 15 alternative forecasting models, corresponding to combinations of lags 1–4 of the GDP gap.

► <Benchmark>

$$\pi_{j,t} = \alpha_{j,0} + \alpha_{j,1}\pi_{j,t-1} + \gamma_j exch_{t-1} + \psi_j imp_{t-1} + \epsilon_{j,t}$$

where $\pi_{j,t}$ is CPI inflation for item j; $exch_t$ is the rate of change in the KRW/USD exchange rate; and imp_t is import-price inflation excluding energy.

► <Alternative models: 15 models, $m \in \{1, \ldots, 15\}$>

$$\pi_{j,t} = \alpha_{j,0}^{(m)} + \alpha_{j,1}^{(m)}\pi_{j,t-1} + \sum_{i \in S_m} \beta_{j,i}^{(m)} gap_{t-i} + \gamma_j^{(m)} exch_{t-1} + \psi_j^{(m)} imp_{t-1} + \epsilon_{j,t}^{(m)} \quad (S_m \subseteq \{1,2,3,4\})$$

(Step 2) For each item, calculate the ARMSFE* (Average Root Mean Squared Forecast Error) for the benchmark and alternative models over forecast horizons of one to four quarters.

* The ARMSFE is the average of the four RMSFEs for forecasts one to four quarters ahead.

(Step 3) Classify an item as cyclically sensitive if at least one of the 15 alternative models has greater forecasting accuracy (a lower ARMSFE) than the benchmark model.

(Step 4) Calculate the cyclically sensitive inflation index each quarter using the contemporaneous set of components and their weights.

BOX 5 Estimating the asymmetric Phillips curve

□ Phillips curves are estimated to examine whether the effects of demand-side pressures on cyclically sensitive inflation and core inflation differ asymmetrically across regimes.

○ The Phillips curve assumes adaptive expectations and includes lagged inflation and a demand-related gap as explanatory variables, with the nominal KRW/USD exchange rate added as a control. To examine asymmetry, the gap is separated into the gap in high-demand-pressure regimes (y_t^+) and the gap in low-demand-pressure regimes (y_t^-).

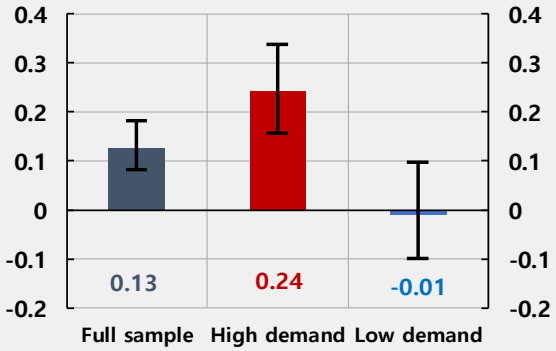
► **(Full sample)** $\pi_t = c + \phi\pi_{t-1} + \beta y_t + \gamma exch_t + \epsilon_t$,

► **(By regime)** $\pi_t = c + \phi\pi_{t-1} + \beta^+ y_t^+ + \beta^- y_t^- + \gamma exch_t + \epsilon_t$,

where π_t is core inflation or cyclically sensitive inflation (year-on-year); y_t is the GDP gap or retail sales gap (HP-filtered); $y_t^+ = \max(y_t, 0)$ for high-demand-pressure regimes; $y_t^- = \min(y_t, 0)$ for low-demand-pressure regimes; $exch_t$ is year-on-year appreciation/depreciation of the KRW/USD exchange rate; c is a constant. The estimation sample is Q1 2001–Q1 2026 (Q1 2011–Q1 2026 for cyclically sensitive inflation).

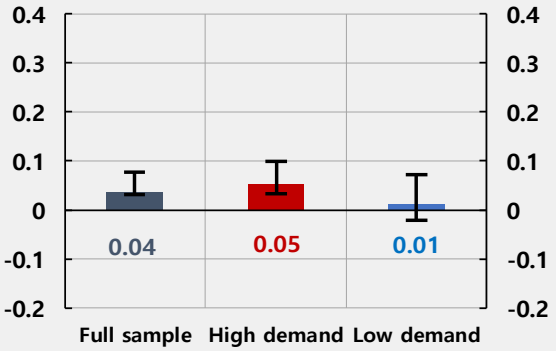
□ As a robustness check, using the retail sales gap as the demand-related gap yields asymmetry in the effects of demand-side pressures on cyclically sensitive inflation and core inflation similar to the results obtained using the GDP gap.

Effects of demand-side pressures (retail sales gap) on cyclically sensitive inflation[1)]



Note: 1) Vertical bars indicate 90% confidence intervals.
Source: authors' own estimation.

Effects of demand-side pressures (retail sales gap) on core inflation[1)]



Note: 1) Vertical bars indicate 90% confidence intervals.
Source: authors' own estimation.

BOX 6 Identifying demand shocks and analyzing dynamic inflation responses

□ To analyze the effect of demand shocks on core inflation, demand shocks are first extracted by identifying a Bayesian VAR (BVAR) model using sign restrictions. In a second step, local projections are used to estimate the dynamic effect of the identified shocks on core inflation.

○ **(Step 1)** A BVAR(4) containing the GDP gap, CPI inflation (quarter-on-quarter annualized), and the call rate is estimated. Sign restrictions* are imposed so that the identified demand shock ($\hat{\epsilon}_t^{demand}$) raises the GDP gap, inflation and the call rate from the impact period through two periods after the shock. The estimation sample is Q1 2001–Q1 2026.

* 1,000 draws satisfying the sign restrictions are retained.

■ Because Bayesian estimation of a VAR with a flat prior can produce unstable impulse responses when the sample is limited, the Minnesota shrinkage prior of Banbura *et al.* (2010) is used.

■ The Minnesota shrinkage prior is implemented using dummy observations; as a result, both the prior and posterior distributions take a Normal-Inverse-Wishart form.

○ **(Step 2)** The following regression is estimated using the local projection method of Jordà (2005):

► $$Cum\,\pi_{t,h} = \alpha_h + \beta_h\,\hat{\epsilon}_t^{demand} + \sum_{j=1}^{2} \Gamma'_{j,h}\,Y_{t-j} + e_{t+h},$$

$$Cum\,\pi_{t,h} = \frac{1}{4}\sum_{s=0}^{h}\pi_{t+s}\ ,\quad Y_t = [GDPgap, \pi_t, call\,rate]'$$

○ **(Asymmetry)** To examine asymmetry in the inflation response between high- and low-demand-pressure regimes, the following regression is estimated:

► $$Cum\,\pi_{t,h} = D_t^{+}\,(\alpha_h^{+} + \beta_h^{+}\,\hat{\epsilon}_t^{demand}) + D_t^{-}\,(\alpha_h^{-} + \beta_h^{-}\,\hat{\epsilon}_t^{demand}) + \sum_{j=1}^{2}\Gamma'_{j,h}\,Y_{t-j} + e_{t+h}$$

■ D_t^{+} is set equal to 1 when the four-quarter moving average of the GDP gap is above zero, indicating a high-demand-pressure regime, and 0 otherwise; $D_t^{-} = 1 - D_t^{+}$. Newey-West HAC standard errors are used.

BOX 7 Estimating dynamic inflation responses to demand shocks related to GDI and the terms of trade

□ As in Box 6, a Bayesian VAR (BVAR) is first identified using sign restrictions to extract demand shocks related to GDI, GDP, the terms of trade, and export/import prices. In the second step, local projections are used to estimate the dynamic effects of the identified shocks on core inflation.

○ **(Step 1)** A demand shock($\hat{\epsilon}_{i,t}^{demand}$) related to $X_{i,t}$ is identified from a three-variable BVAR(4) containing [$X_{i,t}$, core inflation (quarter-on-quarter annualized), call rate]. The index i covers the GDI gap, GDP gap, terms-of-trade gap, export-price gap and import-price gap*. A separate demand shock is extracted for each. For example, a GDI-based demand shock is extracted from [$X_{GDI\,gap,t}$, core inflation, call rate].

* For the import-price gap, the sign is reversed to represent a decline in import prices. All gaps are estimated using an HP filter.

■ Sign restrictions are imposed so that $X_{i,t}$, core inflation and the call rate all increase following the identified shock. The estimation sample is Q1 2001–Q1 2026.

○ **(Step 2)** The following regression is estimated using the local projection method of Jordà (2005):

► $$Cum\,\pi_{t,h} = \alpha_h + \beta_h\,\hat{\epsilon}_{i,t}^{demand} + \sum_{j=1}^{2} \Gamma'_{j,h}\,W_{t-j} + e_{t+h},$$

$$Cum\,\pi_{t,h} = \frac{1}{4}\sum_{s=0}^{h}\pi_{t+s}\ ,\quad W_t = [X_{i,t}, \pi_t, call\,rate, oil\,price, exchange\,rate]'$$

■ W_t denotes the control variables; gaps for oil prices and the exchange rate, also estimated using an HP filter, are included as controls.

○ **(Asymmetry)** To examine asymmetry in the inflation response between high- and low-demand-pressure regimes, the following regression is estimated:

► $$Cum\,\pi_{t,h} = D_t^{+}\,(\alpha_h^{+} + \beta_h^{+}\,\hat{\epsilon}_{i,t}^{demand}) + D_t^{-}\,(\alpha_h^{-} + \beta_h^{-}\,\hat{\epsilon}_{i,t}^{demand}) + \sum_{j=1}^{2} \Gamma'_{j,h}\,W_{t-j} + e_{t+h}$$

■ D_t^{+} is set equal to 1 when the four-quarter moving average of the GDP gap is above zero, indicating a high-demand-pressure regime, and 0 otherwise; $D_t^{-} = 1 - D_t^{+}$. Newey-West HAC standard errors are used.

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<Appendix> Key Economic Indicators

[Global Economy]

	(change from previous period, %)	2024	2025			2026				
			Year	Q3	Q4	Q1	Q2	May	June	July
United States	GDP Growth[1]	2.8	2.1	4.4	0.5	2.1	1.5	-	-	-
	Industrial Production[2]	-0.7	1.1	0.5	-0.5	0.3	1.0	0.0	0.3	0.2
	Retail Sales	3.0	3.7	1.6	0.4	1.3	2.9	0.9	0.2	-0.6
	CPI Inflation[3]	2.9	2.6	2.9	2.7	2.7	3.9	4.2	3.5	3.4
	Changes in Non-Farm Payrolls(1,000s)	1,826	764	34	-91	130	287	63	20	-23
Euro Area	GDP Growth	1.0	1.2	0.3	0.2	0.0	0.4	-	-	-
	Industrial Production[2]	-3.0	1.6	-0.1	0.1	-0.8	0.9	0.3	0.0	..
	Retail Sales	1.3	2.4	0.2	0.6	0.3	0.2	0.4	-0.3	..
	Custom Exports[4]	0.6	2.4	0.2	-0.7	0.9	5.6	0.4	0.9	..
	CPI Inflation[3]	2.4	2.1	2.1	2.1	2.0	3.0	3.2	2.8	2.9
China	GDP Growth[3]	5.0	5.0	4.8	4.5	5.0	4.3	-	-	-
	Industrial Production[2][3]	5.8	5.9	5.8	5.0	6.1	4.6	4.5	5.3	4.5
	Retail Sales[3]	3.5	3.7	3.4	1.7	2.4	0.2	-0.6	1.0	0.6
	Fixed Investment[3][5]	3.2	-3.8	-0.5	-3.8	1.7	-5.7	-4.1	-5.7	-6.7
	Custom Exports[3]	5.8	5.4	6.4	3.7	14.7	20.1	19.2	26.9	23.9
	CPI Inflation[3]	0.2	0.0	-0.2	0.6	0.9	1.1	1.2	1.0	0.5

Notes: 1) Annualized rate 2) Based on the mining and manufacturing industry 3) Year-on-year changes.
4) Excluding intra-region trade. 5) Cumulative
Sources: Fed, BEA, BLS, Eurostat, National Bereau of Statistics of China, GACC.

[Global Energy Prices]

(avg. over time)	2024	2025			2026					
		Year	Q3	Q4	Q1	Q2	May	June	July	August[3]
Dubai Oil[1]	80	69	70	64	88	96	104	84	77	87
Bren Oil[1]	80	68	68	63	78	97	103	79	84	88
Europe Natural Gas[2]	35	36	33	30	40	46	47	45	54	60

Notes: 1) USD/barrel 2) Euro/MWh 3) Averages of August 1~24
Sources: Bloomberg, Korea National Oil Corporation

[Korea's Economy]

(change from previous period, %)		2024	2025			2026				
			Year	Q3	Q4	Q1	Q2	May	June	July
Growth	GDP Growth	2.2	1.1	1.4	-0.1	1.8	0.6	-	-	-
	Retail Sales	-1.9	0.3	1.2	0.6	2.4	-1.7	0.1	2.7	..
	(Year-on-Year)			(1.6)	(0.9)	(3.2)	(2.4)	(1.5)	(4.2)	..
	Facilities Investment	3.0	1.2	0.6	-3.8	13.0	3.6	0.3	5.8	..
	(Year-on-Year)			(1.2)	(-6.2)	(9.8)	(13.0)	(9.7)	(21.7)	..
	Construction Completed	-4.6	-16.5	-0.8	-4.1	0.5	0.4	3.7	4.1	..
	(Year-on-Year)			(-11.9)	(-15.1)	(-6.1)	(-4.6)	(-3.2)	(-4.0)	..
	Custom Exports[1)]	6,836	7,093	1,849	1,898	2,208	2,753	876	1,020	990
	(Year-on-Year)	(8.1)	(3.8)	(6.5)	(8.4)	(38.4)	(57.2)	(52.9)	(70.4)	(63.0)
	Custom Imports[1)]	6,318	6,319	1,625	1,622	1,698	1,889	607	661	686
	(Year-on-Year)	(-1.7)	(0.0)	(1.6)	(1.4)	(11.1)	(22.3)	(20.7)	(30.0)	(26.5)

Note: 1) Values are in USD 100 million
Sources: Bank of Korea, Ministry of Data and Statistics, Korea Customs Services.

(Year-on-Year, %)		2024	2025			2026				
			Year	Q3	Q4	Q1	Q2	May	June	July
Price	CPI Inflation	2.3	2.1	2.0	2.4	2.1	3.0	3.1	3.2	2.8
	Core Inflation[1)]	2.2	1.9	1.7	2.0	2.2	2.4	2.5	2.5	2.6
Current Account	Current Account[2)]	1,000	1,231	360	392	744	1,166	386	497	..
	Goods	1,109	1,381	376	426	742	1,196	379	479	..
	Services	-294	-345	-77	-106	-70	-48	-11	-13	..
	Primary and Secondary income	185	195	61	71	71	18	18	31	..
Employment	Employment Change[3)]	15.9	19.3	21.6	19.5	18.3	3.2	-4.0	6.3	10.8
	Unemployment Rate(S.A., %)	2.8	2.8	2.7	2.9	2.9	2.8	2.8	2.7	2.8

Notes: 1) Excluding food and energy. 2) Values are in USD 100 million. 3) 10k persons.
Sources: Bank of Korea, Ministry of Data and Statistics

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